

ASIA ASSET FINANCE PLC
COLOMBO - 03

FINANCIAL STATEMENTS FOR THE
YEAR ENDED 31ST MARCH 2022



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INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ASIA ASSET FINANCE PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Asia Asset Finance PLC ("the Company"), which comprise the statement of financial position as at 31st March 2022, and the statement of income and statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies as set out on pages 06 to 74.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31st March 2022, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of the most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter

Impairment of loans and receivables

The Company's gross loans and receivables amount to Rs. 17.3 billion as at 31st March 2022 (2021: Rs. 14 billion) and impairment allowance for the year amounts to Rs. 493 million at 31st March 2022 (2021: Rs. 383 million).

The Company measures the impairment of loans and receivables using expected credit loss ("ECL") model as per SLFRS 9: Financial Instruments ("SLFRS 9"). The application of this standard requires management to exercise significant judgments in the determination of expected credit losses, including those relating to loans and receivables. Management applies significant judgment in the determination of estimated future cash flows, probabilities of default and forward-looking economic expectations.

Due to the significance of loans and receivables and the significant estimates and judgment involved, the impairment of these loans and receivables was considered to be a key audit matter.

The impairment provision is considered separately on an individual and collective impairment basis.

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Partners : Sujeewa Rajapakse FCA, FCMA, MBA. Ashane J.W. Jayasekara FCA, FCMA (UK), MBA. H. Sasanka Rathnaweera FCA, ACMA. R. Vasanthakumar Bsc (Acc), ACA. F. Sarah Z. Afker ACA, ACMA (UK), CGMA, MCSI (UK). M.N. Mohamed Nabeel ACA. D. Jerad N. Dias ACA. Madhura V. De Silva FCA, MSc.

In calculating the impairment provision on a collective basis, statistical models are used. The following inputs to these models require significant management judgment:

- the probability of default (PD);
- the exposure at default (EAD);
- the loss given default (LGD); and
- the effective interest rates.

In assessing loans and receivables on an individual basis, significant judgments, estimates and assumptions have been made by management to:

- Determine if the loan, advance, lease or hire purchase is credit impaired;
- Evaluate the adequacy and recoverability of collateral;
- Determine the expected cash flows to be collected; and
- Estimate the timing of the future cash flows.

Key areas of significant judgments, estimates and assumptions used by management related to the impact of prevailing macroeconomic conditions and COVID-19 in the assessment of the impairment allowance included the following:

- The probable impacts of prevailing macroeconomic conditions and COVID-19 and related industry responses (e.g. government stimulus packages and debt moratorium relief measures granted by the Company);
- The determination on whether or not customer contracts have been substantially modified due to such COVID-19 related stimulus and relief measures granted and related effects on the amount of interest income recognised on affected loans and advances;
- Forward-looking macroeconomic factors, including developing and incorporating macroeconomic scenarios, given the wide range of potential economic outcomes and probable impact from prevailing macroeconomic conditions and COVID-19 that may affect future expected credit losses.

The disclosures associated with impairment of loans and receivables are set out in the financial statements in the following notes:

- Note 11 - Impairment charge for lease rental receivables, hire purchase and loans and advances
- Note 18.8 - Financial assets at amortised cost - Loan and advances
- Note 18.7 - Financial assets at amortised cost - Lease rental receivables and hire purchase

How our audit addressed the key audit matter:

Our procedures included the following.

- We obtained an understanding of management's process and tested controls over credit origination, credit monitoring and credit remediation.
- We evaluated the design, implementation and operating effectiveness of controls over estimation of impairment, which included assessing the level of oversight, review and approval of provision for credit impairment policies and procedures by the Board and management.

- We assessed the appropriateness of the accounting policies and loan impairment methodologies applied by comparing these to the requirements of SLFRS 9: Financial Instruments, particularly in light of the deteriorating and extremely volatile economic scenarios caused by prevailing macroeconomic conditions, COVID-19 pandemic and government responses based on the best available information up to the date of our report.
- We test-checked the underlying calculations and data.

In addition to the above, we performed the following specific procedures:

For loans and receivables collectively assessed for impairment:

- We assessed the completeness of the underlying information in loans and receivables used in the impairment calculations by agreeing details to the Company's source documents and information in IT systems.
- We assessed whether judgments, estimates and assumptions used by the management in the underlying methodology and the management overlays were reasonable. Our testing included evaluating the reasonableness of forward-looking information used, economic scenarios considered, and probability weighting assigned to each of those scenarios. Further, we assessed the reasonableness of the Company's considerations of the economic uncertainty relating to prevailing macroeconomic conditions and COVID-19.

For loans and receivables individually assessed for impairment:

- We assessed the main criteria used by management for determining whether an impairment event had occurred.
- Where impairment indicators existed, we assessed the reasonableness of management's estimated future recoveries including the expected future cash flows, discount rates and the valuation of collateral held.
- Evaluating the reasonableness of the provisions made with particular focus on the prevailing macroeconomic conditions as well as, on the impact of COVID-19 on elevated risk industries, strategic responsive actions taken, collateral values, and the value and timing of future cashflows.

For loans and advances affected by government stimulus and debt moratorium relief measures granted:

- Assessing the appropriateness of judgments, reasonableness of calculations and data used to determine whether customer contracts have been substantially modified or not and to determine the resulting accounting implications; and
- Evaluating the reasonableness of the interest income recognised on such affected loans and advances.

We also assessed the adequacy of the related financial statement disclosures.

Other information

Management is responsible for the other information. The other information comprises the information included in the Annual Report. The Annual Report is expected to be made available to us after the date of this auditor's report.



Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise whether it appears to be materially misstated.

When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines, is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain an audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures, are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

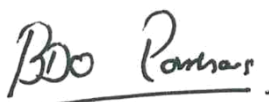
We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 3890.



CHARTERED ACCOUNTANTS

Colombo

28th April 2022

VR/cc

ASIA ASSET FINANCE PLC
INCOME STATEMENT
FOR THE YEAR ENDED 31ST MARCH 2022

Page 1

	Note	2021/2022 Rs.	2020/2021 Rs.
Interest income	4	2,576,080,610	2,725,047,627
Less: Interest expenses	5	(1,324,236,291)	(1,462,362,856)
Net Interest income	6	1,251,844,319	1,262,684,771
Net trading loss on held for trading securities		-	
Fees and commission income	7	591,567,029	213,465,679
Other operating income	8	15,065,243	16,301,295
Less: Operating expenses			
Personnel expenses	9	(333,319,633)	(276,092,770)
Depreciation and amortization cost	10	(128,652,792)	(92,295,335)
General and administration expenses		(664,817,564)	(609,275,579)
Impairment charge for lease rentals receivable, hire purchase, loans and advances	11	(492,904,301)	(382,940,886)
Operating profit before value added tax on financial services	12	238,782,301	131,847,175
Value added tax on financial services	13	(36,500,000)	(45,100,000)
Profit before income tax		202,282,301	86,747,175
Income tax expenses	14	(83,720,568)	(41,551,058)
Profit for the year		118,561,733	45,196,117
 Earnings per share - basic	36.1	 0.95	 0.36
 Earnings per share - diluted	36.2	 0.72	 0.36

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 74 form an integral part of these financial statements.

Colombo
28th April 2022



ASIA ASSET FINANCE PLC
STATEMENT OF PROFIT OR LOSS AND COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31ST MARCH 2022

Page 2

	Note	2021/2022 Rs.	2020/2021 Rs.
Profit for the year		118,561,733	45,196,117
Other comprehensive income not to be re-classified to profit or loss in subsequent periods (net of tax)			
Actuarial gain on retirement benefit liability	33	1,164,300	4,379,407
Deferred tax effect on components of other comprehensive income	14	(279,432)	1,051,058
Other comprehensive income for the year net of tax		884,868	5,430,465
Total comprehensive income for the year		119,446,601	50,626,582

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 74 form an integral part of these financial statements.

Colombo
28th April 2022



	Note	Page No	31.03.2022 Rs.	31.03.2021 Rs.
ASSETS				
Cash and cash equivalents	16		1,397,632,551	1,006,233,476
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	17		989,433,452	654,692,844
Financial assets at amortized cost - Loans and advances	18.8		14,729,182,119	10,198,262,863
Financial assets at amortized cost - Lease rentals receivable and hire purchase	18.7		1,084,117,530	2,212,534,894
Other assets	19		123,152,101	121,313,548
Income tax receivable	20		27,698,763	27,698,763
Advances, deposits and prepayments	21		104,518,028	152,407,430
Financial assets - Fair value through other comprehensive income / available for sale	22		506,659	506,659
Property, plant and equipment	23		184,377,810	156,436,176
Right-of-use assets	24		196,496,795	217,810,352
Investment property	25		359,055,285	376,158,647
Deferred tax assets	14.2		101,422,647	185,422,647
Intangible assets	26		44,194,279	40,951,790
Total assets			19,341,788,019	15,350,430,089
LIABILITIES				
Financial liabilities - Due to banks	27		38,990,640	24,279,289
Other liabilities	28		80,227,359	40,308,402
Financial liabilities - Other borrowed funds	29		5,458,426,482	4,778,758,726
Leased liability	30		207,778,443	213,877,898
Due to customers	31		8,695,180,271	7,011,525,892
Debenture	32		2,072,877,339	1,029,465,109
Retirement benefit obligation	33		32,796,379	30,135,378
Total liabilities			16,586,276,913	13,128,350,694
EQUITY				
Stated capital	34		2,205,463,801	1,791,478,691
Retained earnings			464,777,293	351,303,022
Statutory reserve fund and other reserves	35		85,270,012	79,297,682
Total equity			2,755,511,106	2,222,079,395
Total equity and liabilities			19,341,788,019	15,350,430,089
Contingent liabilities and commitments	37		736,356,192	343,139,968
Net assets value per share			22.19	17.89

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 74 form an integral part of these financial statements.

These financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.



Geethika Elwalage

Deputy General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.



R.J.A. Gunawardena

Director/Chief Executive Officer

Colombo
28th April 2022

VR/cc




T. Perera

Director/Chairman Audit Committee

ASIA ASSET FINANCE PLC
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31ST MARCH 2022

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Note	Ordinary share capital Rs.	Preference share capital Rs.	General reserve Rs.	Statutory reserve fund Rs.	Retained earnings Rs.	Total Rs.
Balance as at 01st April 2020	1,791,478,691	-	3,000,000	73,766,353	303,207,769	2,171,452,813
Total comprehensive income for the year						
Profit for the year	-	-	-	-	45,196,117	45,196,117
Other comprehensive income (net of tax)	-	-	-	-	5,430,465	5,430,465
Total comprehensive income for the year	-	-	-	-	50,626,582	50,626,582
Transactions with equity holders recognized directly in equity						
Transfers to reserves	-	-	-	2,531,329	(2,531,329)	-
Total transactions with equity holders	-	-	-	2,531,329	48,095,253	50,626,582
Balance as at 31st March 2021	1,791,478,691	-	3,000,000	76,297,682	351,303,022	2,222,079,395
Total comprehensive income for the year						
Profit for the year	-	-	-	-	118,561,733	118,561,733
Other comprehensive income (net of tax)	-	-	-	-	884,868	884,868
Total comprehensive income for the year	-	-	-	-	119,446,601	119,446,601
Transactions with equity holders recognized directly in equity						
Proceeds from issue of preference shares	34.2	-	413,985,110	-	-	413,985,110
Transfers to reserves	35	-	-	5,972,330	(5,972,330)	-
Total transactions with equity holders	-	413,985,110	-	5,972,330	113,474,271	533,431,711
Balance as at 31st March 2022	1,791,478,691	413,985,110	3,000,000	82,270,012	464,777,293	2,755,511,106

The accounting policies and notes on pages 06 to 74 form an integral part of these financial statements.

Colombo
28th April 2022



	Note	2021/2022 Rs.	2020/2021 Rs.
Cash flows from operating activities			
Profit before income tax		202,282,301	86,747,175
Adjustments for			
Depreciation and amortization	23 & 26	72,580,622	51,276,593
Amortization of right-of-use asset	24	61,492,097	41,018,741
Interest expenses on lease liability	30	25,478,575	20,009,922
Impairment of lease, hire purchase, loans and advances	11	492,904,300	382,940,886
Early termination of loans, leases and hire purchase		(37,203,068)	(29,908,552)
Non-cash items included in profit before tax (WHT and Notional tax)		-	37,817
Gain on expiration of operating lease agreement during the year	8	(1,719,551)	-
Interest income on short-term investment		-	(18,852,915)
Gain on disposal of property, plant and equipment and investment property		(2,230,807)	(8,958,592)
Provision for retirement benefit liability	33	6,051,551	7,163,721
Interest expense on other borrowings	5	463,925,159	695,547,058
Interest expense on debentures		166,360,280	47,070,376
Cash generated from operations before working capital changes		1,449,921,459	1,274,092,230
Changes in working capital			
Decrease in lease rentals receivable and hire purchase		1,085,312,948	1,592,530,924
Increase in loans and advances		(4,947,566,069)	(1,716,824,690)
Increase in other receivables		(101,514,786)	(126,272,144)
(Increase)/decrease in deposits and prepayments		141,585,638	(95,894,459)
Increase in deposits from customers		1,681,493,888	428,451,679
Increase in other non-financial liabilities		41,310,965	63,144,462
Net cash from/(used in) operations		(649,455,957)	1,419,228,002
Taxes paid		-	-
Gratuity paid	33	(2,226,250)	(2,621,800)
Lease rent advance paid		-	(14,542,782)
Rent paid	30	(63,288,541)	(39,408,751)
Net cash generated from/(used in) operating activities		(714,970,748)	1,362,654,669
Cash flows from investing activities			
Acquisition of property, plant and equipment	23	(81,044,789)	(65,141,353)
Acquisition of intangible assets	26	(12,276,583)	(6,956,240)
Acquisition of investment property	25	-	(315,000)
Proceeds from sale of investment property		12,210,000	30,900,000
Investments in short-term investments		-	(980,000,000)
Proceeds from short-term investments		-	998,852,915
Proceeds from sale of property, plant and equipment		730,795	3,578,913
Net cash used in investing activities		(80,380,577)	(19,080,765)
Cash flows from financing activities			
Repayment of other borrowed funds	29	(4,182,257,403)	(4,686,113,659)
Proceeds from other borrowed funds	29	4,398,000,000	2,683,000,000
Proceeds from debenture issue	32	992,025,770	982,394,733
Repayment of debenture		(114,973,820)	-
Proceed from preference share issue	34.2	413,985,110	-
Net cash generated from/(used in) financing activities		1,506,779,657	(1,020,718,926)
Net increase in cash and cash equivalents		711,428,332	322,854,978
Cash and cash equivalents at the beginning of the year	A	1,636,647,031	1,313,792,053
Cash and cash equivalents at the end of the year	B	2,348,075,363	1,636,647,031
At the beginning of the year			Note A
Cash and cash equivalents		1,006,233,476	511,939,133
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost		654,692,844	860,630,696
Bank overdraft		(24,279,289)	(58,777,776)
		<u>1,636,647,031</u>	<u>1,313,792,053</u>
At the end of the year			Note B
Cash and cash equivalents		1,397,632,551	1,006,233,476
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost		989,433,452	654,692,844
Bank overdraft		(38,990,640)	(24,279,289)
		<u>2,348,075,363</u>	<u>1,636,647,031</u>

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 74 form an integral part of these financial statements.

ASIA ASSET FINANCE PLC

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

This section provides general information about Asia Asset Finance PLC.

1.1 General

Asia Asset Finance PLC is a Public Limited Liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The Company has been registered with the Central Bank of Sri Lanka as a Finance company under the provisions of the Finance Business Act No. 42 of 2011 (formerly the Finance Companies Act No.78 of 1988). The company was re-registered under the Companies Act No. 07 of 2007. The registered office of the Company and the principal place of business are located at No 76, Park Street, Colombo 03.

1.2 Principal activities and nature of operations

The principal activities of the Company comprise granting leases, hire purchase, mortgage loans, personal loans, group personal loans, gold loans, micro finance loans, pledge loans, cheque and invoice discounting and mobilization of public deposits.

There were no significant changes in the nature of the principal activities of the Company during the financial year under review.

1.3 Parent entity and ultimate parent entity

The company's immediate and ultimate parent entity as at 31st March 2022 is Muthoot Finance Limited which was incorporated in India.

1.4 Number of employees

The staff strength of the Company as at 31st March 2022 was 526 (427 as at 31st March 2021).

2. BASIS OF PREPARATION AND OTHER SIGNIFICANT ACCOUNTING POLICIES

This section provides additional information about the overall basis of preparation that the directors consider is useful and relevant in understanding these financial statements:

- A summary of other significant accounting policies affecting the results and financial position of the Company, including changes in accounting policies and disclosures during the year
- Standards that have been issued which the company has not adopted

2.1 Basis of measurement

The financial statements of the Company have been prepared on the historical cost basis except for the following items in the statement of financial position:

Item	Basis of measurement
Financial assets measured at fair value through profit or loss	Fair value
Financial assets measured at fair value through other comprehensive income	Fair value
Retirement benefit obligation	Liability is recognized as the present value of the retirement obligation plus unrecognized actuarial gains less unrecognized past service cost and unrecognized actuarial losses.

2.2 Going concern

The Company has prepared the financial statements for the year ended 31 March 2022 on the basis that it will continue to operate as a going concern. In determining the basis of preparing the financial statements for the year ended 31 March 2022, based on available information, the management has assessed the prevailing macroeconomic conditions and its effect on the Company and the appropriateness of the use of the going concern basis. It is the view of the management that there are no material uncertainties that may cast significant doubt on the Company's ability to continue to operate as a going concern.

The Company recorded strong improvement in profitability compared to the previous year on the back of a fast recovery momentum with most of the businesses reaching pre COVID-19 levels of operations post the easing of restrictions. The management has formed judgment that the Company has adequate resources to continue in operational existence for the foreseeable future driven by the continuous operationalisation of risk mitigation initiatives and monitoring of business continuity and response plans at each business unit level along with the financial strength of the Company. The Directors are satisfied that the Company has adequate resources to continue in operational existence for the foreseeable future and hence has adopted the going concern basis in preparing and presenting these Financial Statements..

2.3 Statement of compliance

The financial statements of the Company as at 31st March, 2022 and for the year then ended, have been prepared and presented in accordance with Sri Lanka Accounting Standards (SLFRSs and LKAS) laid down by the Institute of Chartered Accountants of Sri Lanka and are in compliance with the requirements of the Companies Act No. 07 of 2007, the Finance Business Act No 42 of 2011 and the Listing Rules of the Colombo Stock Exchange.

These financial statements include the following components:

- A statement of profit or loss and other comprehensive income providing the information on the financial performance of the Company for the year under review
- A statement of financial position providing the information on the financial position of the Company as at the year end
- A statement of changes in equity depicting all changes in shareholders' equity during the year under review of the Company
- A statement of cash flows providing the information to the users, on the ability of the Company to generate cash and cash equivalents and the needs of the entity to utilize those cash flows and
- Notes to the financial statements comprising accounting policies and other explanatory information.

2.4 Responsibility for financial statements

The Board of Directors is responsible for the preparation and presentation of these financial statements as per the provision of the Companies Act No. 07 of 2007 and Sri Lanka Accounting Standards.

2.5 Approval of financial statements by the Board of Directors

The financial statements of Asia Asset Finance PLC for the year ended 31st March 2022 (including comparatives) were approved and authorized for issue on 28th April 2022 in accordance with a resolution of the Board of Directors on 28th April 2022.



2.6 Presentation of financial statements

The assets and liabilities in the statement of financial position are grouped by nature and listed in an order that reflect their relative liquidity and maturity pattern. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) has been presented in note 42 (current/non-current analysis). No adjustments have been made for inflationary factors affecting the financial statements.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expenses are not offset in the statement of comprehensive income unless it is required or permitted by any accounting standard or interpretation.

2.7 Comparative information

Comparative information including quantitative, narrative and descriptive information is disclosed in respect of the previous period in the financial statements in order to enhance the understanding of the current period's financial statements and to enhance the inter period comparability. The presentation and classification of the financial statements of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year.

2.8 Functional and presentation currency

The financial statements have been presented in Sri Lankan Rupees (Rs.), which is the Company's functional and presentation currency.

2.9 Materiality and aggregation

In compliance with the Sri Lanka Accounting Standard - LKAS 01 on 'Presentation of Financial Statements', each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions too are presented separately, unless they are immaterial.

2.10 Rounding

The amounts in the financial statements have been rounded-off to the nearest Rupee, except where it is otherwise indicated as permitted by the Sri Lanka Accounting Standard - LKAS 01 on 'Presentation of Financial Statements'.

2.11 Foreign currency transactions and balances

All foreign currency transactions are translated into the functional currency which is the Sri Lankan Rupee (Rs.) at the spot exchange rate prevailing at the date of the transactions being effected. In this regard, the Company's practice is to use the middle rate of exchange ruling at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the spot rate of exchange ruling at the reporting date. The foreign currency gain or loss on monetary items is the difference between the amortized cost in the functional currency at the beginning of the year adjusted for effective interest and payments during the year and the amortized cost in foreign currency translated at the exchange rate at the reporting date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the spot exchange rates as at the date of recognition. Non-monetary items measured at fair value in a foreign currency are translated using the spot exchange rates at the date when the fair value was determined.

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SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

2.12 Significant accounting judgments, estimates and assumptions

The preparation of the financial statements of the Company in conformity with SLFRS and LKAS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Further, the management is also required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. Actual results may differ from these estimates.

Accounting judgments, estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Impact of prevailing macroeconomic conditions and COVID-19

The prevailing macroeconomic conditions and COVID-19 and their related implications have increased the uncertainty of estimates made in the preparation of the Financial Statements. The estimation uncertainty is associated with:

- the extent and duration of the disruption to businesses arising from the prevailing macroeconomic conditions and COVID-19 and the related actions of stakeholders such as government, businesses and customers.
- the extent and duration of the prevailing macroeconomic conditions due to impact on GDP, capital markets, credit risk of customers, impact of unemployment and possible decline in consumer discretionary spending.
- the effectiveness of Government and Central Bank measures that have been put in place in response to the prevailing circumstances.

The significant accounting estimates impacted by these forecasts and associated uncertainties are related to impairment of financial assets and recoverable amount assessments of non-financial assets, recoverable value of property, plant and equipment and investment properties.

The impact of prevailing macroeconomic conditions and COVID-19 on accounting estimates is discussed under the relevant notes to these Financial Statements.

Significant accounting judgments, estimates and assumptions involving uncertainty are discussed below, whereas the respective carrying amounts of such assets and liabilities are given in the related notes.

2.12.1 Classification of financial assets and liabilities

As per SLFRS 9, the Significant Accounting Policies of the Company provide scope for financial assets to be classified and subsequently measured into different categories, namely, at Amortised Cost, Fair Value through Other Comprehensive Income (FVOCI) and Fair Value Through Profit or Loss (FVTPL) based on the following criteria:

- The entity's business model for managing the financial assets is set out in Note 3.1.3.1.
- The contractual cash flow characteristics of the financial assets is set out in Note 3.1.3.2.

2.12.2 Impairment Losses on Financial assets

The measurement of impairment losses under SLFRS 9 across all categories of financial assets requires judgment, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses. These estimates are based on the assumptions of a number of factors and the actual results may differ, resulting in future changes to the allowance.

Refer Note 3.1.11 for more details relating to impairment loss assessment on financial assets.

2.12.3 Taxation

The Company is subject to income taxes and other taxes including VAT on financial services. Significant judgment is required to determine the total provision for current, deferred and other taxes due to the uncertainties that exist with respect to interpretation of the applicability of tax laws, at the time of preparation of these financial statements.

The Company recognizes assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income and deferred tax amounts in the period in which the determination is made.

2.12.4 Deferred tax assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with the future tax planning strategies.

2.12.5 Retirement benefit obligation

The cost of the retirement benefit obligation of employees is determined using an actuarial valuation. The actuarial valuation is based on assumptions concerning the rate of interest, rate of salary increase, staff turnover, and retirement age and going concern of the Company. Due to the long-term nature of such obligation, these estimates are subject to significant uncertainty. Further details are given in note 33 to the financial statements.

2.12.6 Useful lives of property, plant and equipment, investment property and intangible assets

The Company depreciates/amortizes the property plant and equipment, investment property and intangible assets using the straight line method over their estimated useful lives after taking into account their estimated residual values. The estimated useful life reflects the management's estimate of the period that the Company intends to derive future economic benefits from the use of the property, plant and equipment, investment property and intangible assets. The residual value reflects the management's estimated amount that the Company would currently obtain from the disposal of the asset, after deducting the estimated disposal, as if the asset were already of the age and in the conditions expected at the end of its useful life. Changes in the expected level of usage and technological developments could affect the economic useful lives and the residual values of these assets which could then consequentially impact future depreciation charges.



2.12.7 Leases

2.12.7.1 Determination of the lease term for lease contracts with renewal and termination options (company as a lessee)

The Company determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised. The Company has several lease contracts that include extension and termination options. The Company applies judgment in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination option. After the commencement date, the Company reassesses the lease term if there is a significant event or change in circumstances that is within its control that affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customisation of the leased asset).

2.12.7.2 Estimating the incremental borrowing rate

As the Company cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate ("IBR") to measure the lease liabilities. The IBR is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Company "would have to pay", which requires estimation when no observable rates are available (or when they need to be adjusted to reflect the terms and conditions of the lease). The Company estimates the IBR using observable input when available and is required to make certain entity-specific adjustments.

2.13 Changes in Accounting Policies

The Company has consistently applied the Accounting Policies to all periods presented in these financial statements, except for the changes arising out of amendments to Accounting Standards as set out below.

2.13.1 Changes to already existing accounting standards

The Company applied for the first-time certain standards and amendments, which are effective for annual periods beginning on or after 1 January 2021.

Amendments to SLFRS 16 Covid-19 Related Rent Concessions beyond 30 June 2021. The amendments provide relief to lessees from applying SLFRS 16 guidance on lease modification accounting for rent concessions arising as a direct consequence of the Covid-19 pandemic. As a practical expedient, a lessee may elect not to assess whether a Covid-19 related rent concession from a lessor is a lease modification.

A lessee that makes this election accounts for any change in lease payments resulting from the Covid-19 related rent concession the same way it would account for the change under SLFRS 16, if the change were not a lease modification. The Company has applied practical expedient for Covid-19 related rent concessions which have been extended up to June 2022.



2.13.2 New accounting standards, amendments and interpretations issued but not yet effective

The new and amended standards and interpretations that are issued, but not yet effective, up to the date of issuance of the Company's financial statements are disclosed below.

The Company intends to adopt this amended standard and interpretation, if applicable, when it becomes effective.

Accounting Standard	Description	Effective Date
LKAS 37 - Provisions, Contingent Liabilities and Contingent Assets	Amendment specifies the costs that an entity needs to include when assessing whether a contract is onerous or loss-making.	1st January 2022
LKAS 16 - Property, Plant and Equipment	Amendment prohibits entities from deducting any proceeds from selling items produced, while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management, from the cost of an item of property, plant and equipment.	1st January 2022
Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to LKAS 12)	The amendments narrow the scope of the initial recognition exemption to exclude transactions that give rise to equal and offsetting temporary differences - e.g. leases.	1 January 2023
Annual improvements to SLFRS Standards 2018 - 2020	Annual improvements to SLFRS Standards	1 January 2022
Amendments to LKAS 1	Classification of liabilities as current or non-current	1 January 2023
Amendments to LKAS 1 and SLFRS Practice Statement 2	Disclosure of accounting policies	1 January 2023
Amendments to LKAS 8	Definition of accounting estimates	1 January 2023

The assessment of the impact on the Company does not have material impact on the Financial Statements of the Company.



3. SIGNIFICANT ACCOUNTING POLICIES

3.1. Financial instruments - initial recognition, classification and subsequent measurement

3.1.1 Date of recognition

The Company initially recognises loans and advances, deposits and subordinated liabilities, etc., on the date on which they are originated. All other financial instruments (including regular-way purchases and sales of financial assets) are recognised on the trade date, which is the date on which the Company becomes a party to the contractual provisions of the instrument.

3.1.2 Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their cash flow characteristics and the business model for managing the instruments. Refer Notes 3.1.3 and 3.1.4 for further details on classification of financial instruments.

A financial asset or financial liability is measured initially at fair value plus or minus transaction costs that are directly attributable to its acquisition or issue, except in the case of financial assets and financial liabilities at fair value through profit or loss as per SLFRS 9 and trade receivables that do not have a significant financing component as defined by SLFRS 15.

The transaction cost in relation to financial assets and financial liabilities at fair value through profit or loss is dealt with through the Income Statement.

Trade receivables that do not have significant financing components are measured at their transaction price at initial recognition as defined in SLFRS 15.

When the fair value of financial instruments (except trade receivables that do not have significant financing components) at initial recognition differs from the transaction price, the Company accounts for the Day 1 profit or loss, as described below.

3.1.2.1 “Day 1” profit or loss

When the transaction price of the instrument differs from the fair value at origination and fair value is based on a valuation technique using only inputs observable in market transactions, the Company recognises the difference between the transaction price and fair value in net gains/(losses) from trading. In those cases, where the fair value is based on models for which some inputs are not observable, the difference between the transaction price and the fair value is deferred and is only recognised in profit or loss when the inputs become observable, or when the instrument is de-recognised.

3.1.3 Classification and subsequent measurement of financial assets

As per SLFRS 9, the Company classifies all of its financial assets based on the business model for managing the assets and the assets’ contractual terms measured at either;

- Amortised cost
- Fair value through other comprehensive income (FVOCI)
- Fair value through profit or loss (FVTPL)

The subsequent measurement of financial assets depends on their classification.



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3.1.3.1 Business model assessment

The Company makes an assessment of the objective of a business model in which an asset is held at a portfolio level and not assessed on instrument-by-instrument basis because this best reflects the way the business is managed and information is provided to management.

The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realizing cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Company's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- The frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Company's stated objective for managing the financial assets is achieved and how cash flows are realised.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Company's original expectations, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

3.1.3.2 Assessment of whether contractual cash flows are solely the payments of principal and interest (SPPI test)

As a second step of its classification process the Company assesses the contractual terms of financial assets to identify whether they meet the SPPI test.

For the purposes of this assessment, "principal" is defined as the fair value of the financial asset on initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

"Interest" is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs, as well as profit margin.

In contrast, contractual terms that introduce a more than de minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely the payments of principal and interest on the principal amount outstanding. In such cases, the financial asset is required to be measured at FVTPL.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

In assessing whether the contractual cash flows are solely the payments of principal and interest on the principal amount outstanding, the Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Company considers:

- contingent events that would change the amount and timing of cash flows;
- leverage features;
- prepayment and extension terms;
- terms that limit the Company's claim to cash flows from specified assets; and
- features that modify consideration of the time value of money.

Refer Notes 3.1.3.3 to 3.1.3.5. below for details on different types of financial assets recognised in the Statement of Financial Position. (SOFPI)

3.1.3.3 Financial assets measured at amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely the payments of principal and interest on the principal amount outstanding.

Financial assets measured at amortised cost are given in Notes 3.1.3.3.1 and 3.1.3.3.2 below.

3.1.3.3.1 Loans and advances to customers

Loans and advances to customers include loans and advances, and lease and hire purchase receivables of the Company.

Details of "Loans and advances to customers" are given in Notes 18.

3.1.3.3.2 Investment in reverse repurchase agreements against the treasury bills and bonds

When the Company purchases a financial asset and simultaneously enters into an agreement to resale the asset (or a similar asset) at a fixed price on a future date (reverse repo), the arrangement is accounted for as a financial asset in the SOFP reflecting the transaction's economic substance as a loan granted by the Company. Subsequent to initial recognition, these securities issued are measured at amortised cost using the EIR with the corresponding interest income/receivable being recognised as interest income in profit or loss.

Details of "Investment in reverse repurchase agreements against the treasury bills and bonds" are given in Note 17.

3.1.3.3.3 Cash and cash equivalents

Details of "Cash and cash equivalents" are given in Note 16.

3.1.3.3.4 Financial assets measured at FVOCI

Financial assets at FVOCI include debt and equity instruments measured at fair value through other comprehensive income.

3.1.3.4.1 Debt instruments measured at FVOCI

Debt instruments are measured at FVOCI if they are held within a business model whose objective is to hold for collection of contractual cash flows and for selling financial assets, where the asset's cash flows represent payments that are solely the payments of principal and interest on principal outstanding.

3.1.3.4.2 Equity instruments designated at FVOCI

Upon initial recognition, the Company elects to classify irrevocably some of its equity investments held for strategic and statutory purposes as equity instruments at FVOCI. Details of "Equity instruments at FVOCI" are given in Note 22.

3.1.3.5 Financial assets measured at FVTPL

As per SLFRS 9, all financial assets other than those classified at amortised cost or FVOCI are classified as measured at FVTPL. Financial assets at fair value through profit or loss include financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis as they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

3.1.4 Classification and subsequent measurement of financial liabilities

As per SLFRS 9, the Company classifies financial liabilities, other than financial guarantees and loan commitments into one of the following categories:

- Financial liabilities at fair value through profit or loss, and within this category are,
 - Held-for-trading; or
 - Designated at fair value through profit or loss;
- Financial liabilities measured at amortised cost.

The subsequent measurement of financial liabilities depends on their classification.

3.1.4.1 Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. The Company does not have any financial liabilities at fair value through profit or loss.

3.1.4.2 Financial liabilities at amortised cost

Financial liabilities issued by the Company that are not designated at FVTPL are classified as financial liabilities at amortised cost under "Due to banks", "Due to customers", "Other borrowings" or "Subordinated debts" as appropriate, where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of its own equity shares. The Company classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instrument.



After initial recognition, such financial liabilities are subsequently measured at amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR.

The EIR amortisation is included in “Interest expense” in the income statement. Gains and losses too are recognised in the income statement when the liabilities are derecognised as well as through the EIR amortisation process.

3.1.4.2.1 Due to banks

Details of “Due to banks” are given in Note 27.

3.1.4.2.2 Due to customers

Details of “Due to customers” are given in Note 31.

3.1.4.2.3 Other borrowed funds

Details of “Other borrowed funds” are given in Note 29.

3.1.4.2.4 Debentures

Details of “Debentures” are given in Note 32.

3.1.5 Reclassification of financial assets and liabilities

As per SLFRS 9, Financial assets are not reclassified subsequent to their initial recognition, except and only in those rare circumstances when the company changes its objective of the business model for managing such financial assets which may include the acquisition, disposal or termination of a business line.

Financial Liabilities are not reclassified as such reclassifications are not permitted by SLFRS 9.

3.1.5.1 Timing of reclassification of financial assets

Consequent to the change in the business model, the Company reclassifies all affected assets prospectively from the first day of the first reporting period following the change in the business model (the reclassification date). Accordingly, prior periods are not restated.

3.1.5.2 Measurement of reclassification of financial assets

3.1.5.2.1 Reclassification of Financial Instruments at ‘Fair value through profit or loss’

- **To Fair value through other comprehensive income**

The fair value on reclassification date becomes the new gross carrying amount. The EIR is calculated based on the new gross carrying amount. Subsequent changes in the fair value are recognized in OCI.

- **To Amortised Cost**

The fair value on reclassification date becomes the new carrying amount. The EIR is calculated based on the new gross carrying amount.



3.1.5.2.2 Reclassification of Financial Instruments at 'Fair value through other comprehensive income'

- **To Fair value through profit or loss**
The accumulated balance in OCI is reclassified to profit and loss on the reclassification date.
- **To Amortised Cost**
The financial asset is reclassified at fair value. The cumulative balance in OCI is removed and is used to adjust fair value on the reclassification date. The adjusted amount becomes the amortised cost.

EIR determined at initial recognition and gross carrying amount are not adjusted as a result of reclassification.

3.1.5.2.3 Reclassification of Financial Instruments at "Amortised Cost"

- **To Fair value through other comprehensive income**
The asset is remeasured to fair value, with any difference recognised in OCI. EIR determined at initial recognition is not adjusted as a result of reclassification.
- **To Fair value through profit or loss**
The fair value on the reclassification date becomes the new carrying amount. The difference between amortised cost and fair value is recognised in profit and loss.

3.1.6 De-recognition of financial assets and financial liabilities

3.1.6.1 Financial assets

The Company de-recognises a financial asset (or where applicable a part thereof) when the contractual rights to the cash flows from the financial asset expire or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all risks and rewards of ownership and it does not retain control of the financial asset.

3.1.6.2 Financial liabilities

The Company de-recognises a financial liability when its contractual obligations are discharged, cancelled or expire.

3.1.7 Modification of financial assets and financial liabilities

3.1.7.1 Financial assets

If the terms of a financial asset are modified, the Company evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value.

As per SLFRS 9, if the cash flows of the modified asset carried at amortised cost are not substantially different, then the modification does not result in derecognition of the financial asset. In this case, the Company recalculates the gross carrying amount of the financial asset and recognises the amount arising from adjusting the gross carrying amount as a modification gain or loss in profit or loss. If such a modification is carried out because of financial difficulties of the borrower, then the gain or loss is presented together with impairment losses. In other cases, it is presented as interest income.

3.1.7.2 Financial liabilities

Where an existing financial liability is replaced by another from the same lender on substantially different terms or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognised in profit or loss.

3.1.8 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the SOFP if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

Income and expenses are presented on a net basis only when permitted under SLFRSs, or for gains and losses arising from a group of similar transactions such as in the Company's trading activity.

3.1.9 Amortised cost and gross carrying amount

The "amortised cost" of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the EIR method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any ECL allowance.

The "gross carrying amount of a financial asset" is the amortised cost of a financial asset before adjusting for any ECL allowance.

3.1.10 Fair value of financial instruments

Fair value measurement of financial instruments including the fair value hierarchy is explained in Note 43.

3.1.11 Identification and measurement of impairment of financial assets

3.1.11.1 Overview of the ECL principles

As per SLFRS 9, the Company records an allowance for expected credit losses for loans and advances to customers, debt and other financial instruments measured at amortised cost, debt instruments measured at fair value through other comprehensive income and loan commitments.

SLFRS 9 outlines a "three-stage" model for impairment based on changes in credit quality since initial recognition.

- Stage 1: A financial asset that is not originally credit-impaired on initial recognition is classified in Stage 1. Financial instruments in Stage 1 have their ECL measured at an amount equal to the proportion of lifetime expected credit losses (LTECL) that result from default events possible within the next 12 months (12M ECL).
- Stage 2: If a significant increase in credit risk (SICR) since origination is identified, it is moved to Stage 2 and the Company records an allowance for LTECL. Refer Note 3.1.11.2 for a description on how the Company determines when a significant increase in credit risk has occurred.

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- Stage 3: If a financial asset is credit- impaired, it is moved to Stage 3 and the Company recognises an allowance for LTECL, with probability of default at 100%. Refer Note 3.1.11.4 for a description on how the Company defines credit impaired and default.
- Purchased or originated credit impaired (POCI) financial assets: Financial assets which are credit impaired on initial recognition are categorised within Stage 3 with a carrying value already reflecting the lifetime expected credit losses. The Company does not have POCI loans as at the reporting date.

The key judgments and assumptions adopted by the Company in addressing the requirements of SLFRS 9 are discussed below:

3.1.11.2 Significant increase in credit risk

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information analysis, based on the Company's historical experience and expert credit assessment including forward looking information.

The Company considers an exposure to have significantly increased credit risk when contractual payments of a customer are more than 30 days past due in accordance with the rebuttable presumption in SLFRS 9.

The Company individually reviews at each reporting date, loans and advances above a predefined threshold to identify whether the credit risk has increased significantly since origination, before an exposure is in default. Such indicators include, inter alia:

- When reasonable and supportable forecasts of future economic conditions directly affect the performance of a customer/group of customers, portfolios or instruments
- When there is a significant change in the geographical locations or natural catastrophes that directly impact the performance of a customer/group of customers or instruments
- When the value of collateral is significantly reduced and/or realisability of collateral is doubtful
- When a customer is subject to litigation that significantly affects the performance of the credit facility
- Modification of terms resulting in concessions, including extensions, deferment of payments, waiver of covenants
- When the customer is deceased/insolvent
- When the Company is unable to contact or find the customer

Credit facilities/exposures which have one or more of the above indicators are treated as facilities with significant increase in credit risk and assessed accordingly in ECL computations. The Company regularly monitors the effectiveness of the criteria used to identify significant increase in credit risk to confirm that the criteria is capable of identifying significant increase in credit risk before an exposure is in default.

For debt instruments having an external credit rating, which are measured at amortised cost or at FVOCI, the Company determines significant increase in credit risk based on the generally accepted investment/non-investment grade definitions published by international rating agencies. Debt instruments are moved to stage 2 if their credit risk increases to the extent that they are no longer considered investment grade.

3.1.11.3 COVID -19 Impact on Loan and advances

The Company has provided reliefs such as deferment of repayment terms of credit facilities, for the affected businesses and individuals due to COVID-19 in line with the directions issued by the CBSL. Utilization of a payment deferral program does not, all else being equal, automatically trigger a SICR. As such, key issue will be to distinguish between cases where the payment holidays provide relief from short-term liquidity constraints impacting the borrower that do not amount to a SICR. Given the high degree of uncertainty and unprecedented circumstances in the short-term economic outlook, the Management exercised judgment in the assessment of the impact of the COVID-19 outbreak on the loans and advances portfolio, relying more on the long-term outlook as evidenced by past experience and taking into consideration various relief measures including concessionary financing and payment moratorium.

The impact of the outbreak has been assessed and adjusted in these financial statements based on the available information and assumptions made as at reporting date in line with the guidelines issued by the CBSL and the CA Sri Lanka. In response to COVID-19 and expectations of economic impacts, key assumptions used in the calculation of ECL have been revised. As at the reporting date, the expected impacts of COVID-19 have been captured via the modelled outcome as well as a separate management overlay reflecting the considerable uncertainty remaining in the modelled outcome given the unprecedented impacts of COVID-19.

Accordingly, the Company took steps to identify the customers showing distress signs in identifying SICR under the individual impairment assessment. Under the individual assessment, customers operating in risk elevated industries including Tourism, supplying hardware items, printing and publishing, tobacco related business, passenger transport and electronic items were assessed individually in ECL model. In addition, as expert credit judgment, the stressed ECL parameters such as PDs and LGDs to reflect the real economic scenario that is not reflected due to the deferrals and concessions granted due to COVID-19. Early observations of payment behaviour of expiries for this year were considered in the assessment of the changes in the risk of default occurring over the expected life of a financial instrument when determining staging and is a key input in determining migration.

3.1.11.4 Definition of default and credit impaired assets

The company considers loans and advances to customers to be defaulted when:

- The borrower is unlikely to pay its obligations to the Company in full, without recourse by the Company to actions such as realising security (if any is held); or
- The borrower becomes 90 days past due on its contractual payments.

In addition, the Company classifies the financial investments under Stage 3 when the external credit rating assigned to the particular investment is in “default”.

In assessing whether a borrower is in default, the Company reviews its individually significant loans and advances above a predefined threshold at each reporting date. The Company considers non-performing credit facilities/customers with one or more of indicators set out in Note 3.1.11.2 above as credit impaired.



3.1.11.5 Movement between the stages

Financial assets can be transferred between the different categories (other than POCI) depending on their relative change in credit risk since initial recognition. Financial instruments are transferred out of stage 2 if their credit risk is no longer considered to be significantly increased since initial recognition based on the assessments described in Note 3.1.11.2. Financial instruments are transferred out of stage 3 when they no longer exhibit any evidence of credit impairment as described above.

3.1.11.6 Grouping financial assets measured on collective basis

The Company calculates ECLs either on a collective or an individual basis. Asset classes where the Company calculates ECL on individual basis include credit impaired facilities of individually significant customers.

Those financial assets for which, the Company determines that no provision is required under individual impairment are then collectively assessed for ECL. For the purpose of ECL calculation on collective basis, financial assets are grouped on the basis of similar risk characteristics. Loans and advances to customers are grouped into homogeneous portfolios, based on a combination of product and customer characteristics.

3.1.11.7. The Calculation of Expected Credit Loss Principle (ECL)

The Company calculates ECL based on 3 probability weighted scenarios to measure expected cash shortfalls, discounted at an approximation to the EIR.

A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

The mechanics of the ECL calculation are outlined below and the key elements are as follows:

- PD: The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognized and is still in the portfolio.
- EAD: Exposure At Default is the estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of the principle and interest, whether scheduled by contract or otherwise, expected draw downs on committed facilities and accrued financing income from missed payments.
- LGD: Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lenders would expect to receive, including realization of any collateral. The weighted average LDGs are used and the weighted average LGD is determined by dividing the total loss for the year by the total exposure of settled defaults of each year.

3.1.11.8 Forward-looking information

The Company incorporates forward-looking information into both its assessment as to whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL.



The Company has identified key drivers of credit risk both quantitative and qualitative for various portfolio segments. Quantitative economic factors are based on economic data and forecasts published by CBSL and supranational organisations such as IMF.

Quantitative drivers of credit risk

GDP growth
Unemployment rate
Interest rate (AWPLR)
Rate of inflation
Exchange rate

Qualitative drivers of credit risk

Status of industry business
Regulatory impact
Government policies

3.1.12 Write-off of loans and advances

Loans (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where loans are secured, this is generally after receipt of any proceeds from the realization of security.

3.2. Property, plant and equipment

Details of “Property, plant and equipment” are given in Note 23.

3.2.1. Depreciation

Details of “Depreciation” are given in Note 10.

3.3. Intangible assets

Details of “Intangible assets” are given in Note 26.

Amortisation recognised during the year in respect of intangible assets is included under the item of “Amortisation of intangible assets” under “Depreciation and amortization cost” in income statement. Refer Note 10.

3.4 Investment property

Details of “Investment Property” are given in Note 25.

3.5 Impairment of non-financial assets

The carrying amounts of the Company’s non-financial assets, other than deferred tax assets are reviewed at each reporting date to assess whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing of an asset is required, the Company estimates the asset’s recoverable amount. An asset’s recoverable amount is the higher of an asset’s or cash generating unit’s fair value less costs to sell and its value in use. Where the carrying amount of an asset or cash - generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share price for publicly traded subsidiaries or other available fair value indicators.



SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

Impairment losses are recognised in the income statement, except that, impairment losses in respect of property, plant and equipment previously revalued are recognised against the revaluation reserve through the statement of other comprehensive income to the extent that it reverses a previous revaluation surplus.

The Company has not determined impairment as at the reporting date due to the COVID-19 pandemic, and each department functions under the business continuity plan as per the Company's risk management strategy, allowing operations to function through alternate working arrangements, whilst strictly adhering to and supporting government directives.

3.6 Deferred tax assets

Details of "Deferred tax assets" are given in Note 14.

3.7 Real estate inventories

Real estate inventories represent the purchase value of properties acquired for re-sale. Carrying value of the real estate stocks as at the reporting date represents the purchase value of properties and any subsequent expenditure incurred on developing of such properties.

3.8 Fiduciary assets

The Company provides trust and other fiduciary services that result in the holding or investing of assets on behalf of its clients. Assets held in a fiduciary capacity are not reported in these financial statements as they do not belong to the Company.

3.9 Other assets

Details of "Other assets" are given in Note 19.

3.10 Provisions

Provisions are recognized in the statement of financial position when the Company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation in accordance with the Sri Lanka Accounting Standard - LKAS 37 on 'Provision, Contingent Liabilities and Contingent Assets'. The amount recognized is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation at that date. The expense relating to any provision is presented in the statement of income net of any reimbursement.

3.11 Leases**3.11.1 Right-Of-Use Assets - Company as a Lessee**

Details of "Rights of use assets" are given in Note 24.

3.11.2 Lease Liability

Details of "Lease liability" are given in Note 30.



3.11.3 Finance leases - Company as a lessor

As per SLFRS 16, a lease which transfers substantially all the risks and rewards incidental to ownership of an underlying asset is classified as a finance lease. At the commencement date, the Company recognises assets held under finance lease in the statement of financial position and present them as a lease receivable at an amount equal to the net investment in the lease. Net investment in the lease is arrived by discounting lease payments receivable at the interest rate implicit in the lease, i.e. the rate which causes present value of lease payments to equal the fair value of the underlying asset and initial direct costs. The Company's net investment in lease is included in Note 18 on "Financial assets at amortised cost - Lease rentals receivable and hire purchase", as appropriate. The finance income receivable is recognised in "interest income" over the periods of the leases so as to achieve a constant rate of return on the net investment in the leases.

3.11.4 Operating leases - Company as a lessor

As per SLFRS 16, a lease is classified as an operating lease if it does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset. The Company recognises lease payments from operating leases as income on a straight-line basis. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

3.12 Other liabilities

Other liabilities include related party payables, VAT on Financial Services payable, retirement benefit obligation and other amount payable. These liabilities are recorded at amounts expected to be payable at the reporting date.

Value Added Tax (VAT) on Financial Services

Value Added Tax (VAT) on Financial Services is calculated in accordance with Value Added Tax Act No. 14 of 2002 and subsequent amendments thereto. The base for value added tax computation of value added tax on financial services is the accounting profit before VAT and income tax adjusted for the economic depreciation and emoluments of employees computed on prescribed rates.

3.13 Retirement benefit obligation

Details of "Retirement benefit obligation" are given on Note 33.

3.14 Dividends payable

Dividends on ordinary shares are recognized as a liability and deducted from equity when they are recommended by and declared by the Board of Directors and approved by the shareholders. Interim dividends are deducted from equity when they are declared and are payable at the discretion of the Company. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date in accordance with the Sri Lanka Accounting Standard - LKAS 10 on 'Events after the Reporting period'.

3.15 Income

Income is recognized to the extent that it is probable that the economic benefits will flow to the Company and revenue can be reliably measured. The specific recognition criteria, for each type of gross income, are as follows:



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SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

3.15.1 Net interest income

3.15.1.1 Interest income and interest expense

Interest income and expense are recognised in the income statement using the effective interest rate (EIR) method.

As per SLFRS 9, the interest income and expense presented in the income statement include:

- Interest on financial assets measured at amortised cost calculated using EIR method;
- Interest on financial liabilities measured at amortised cost calculated using EIR method.

Effective Interest Rate (EIR)

The EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

- the gross carrying amount of the financial asset; or
- the amortised cost of the financial liability.

When calculating the EIR for financial instruments other than credit-impaired assets, the Company estimates future cash flows considering all contractual terms of the financial instrument, but not expected credit losses (ECLs). For credit-impaired financial assets which are classified under Stage 3, a credit-adjusted EIR is calculated using estimated future cash flows including ECLs. The credit-adjusted EIR is the interest rate that, at original recognition, discounts the estimated future cash flows (including credit losses) to the amortised cost.

The calculation of the EIR includes transaction costs and fees and points paid or received that are an integral part of the EIR.

For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying the credit-adjusted EIR to the amortised cost of the asset. The calculation of interest income does not revert to a gross basis, even if the credit risk of the asset improves.

3.15.2 Net trading gain/loss on held for trading securities

Results arising from trading activities include all gains and losses from changes in fair value for financial assets 'held for trading'.

3.15.3 Net Fee and Commission Income

Fee and commission income is earned from a diverse range of services provided by the Company to its customers. Fees and commission income is accounted for as follows:

- Income earned on the execution of a significant act is recognised as revenue when the act is completed and
- Income earned from the provision of services is recognised as revenue as the services are provided.

3.15.4 Other operating income

Other operating income includes gains on property, plant and equipment, hiring income, rent income, dividend income and capital gains/(losses).

3.15.4.1 Dividend income

Dividend income is recognized when the Company's right to receive the income is established.

3.15.4.2 Gain or losses on disposal of property plant and equipment, Investment property and real estates

Gains or losses resulting from the disposal of property, plant and equipment, investment properties and real estates are accounted for on cash basis in the statement of profit or loss, in the period in which the sale occurs.

3.15.4.3 Other Income

Other income is recognized on an accrual basis.

3.16 Personnel expenses

Details of "Personnel expenses" are given in Note 9.

3.17 General and administrative expense

General and administration expenses are recognized in the statement of profit or loss on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency have been charged to the statement of income in arriving at the profit for the year.

3.18 Income tax expense

Current tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from, or paid, to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and the amendments thereto at the rate of 24%.

3.19 Events after the reporting period

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the financial statements are authorised for issue.

In this regard, all material and important events that occurred after the reporting period have been considered and appropriate disclosures are made in the financial statements, where necessary.

3.20 Statement of cash flows

The statement of cash flows has been prepared by using 'The Indirect Method' in accordance with the Sri Lanka Accounting Standard - 'LKAS 7' - 'Statement of Cash Flows', whereby gross cash receipts and gross cash payments of operating activities, financing activities and investing activities have been recognized. Cash and cash equivalents mainly comprise cash in hand, balances at banks and bank overdrafts.



3.21 Fair value measurement

“Fair value” is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Company has access at that date. The fair value of a liability reflects its non-performance risk.

When one is available, the Company measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted pricing in an active market, then the Company uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The fair value of an asset or a liability is measured using the assumptions that market participants would use the fair value hierarchy when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Company recognises transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

A fair value measurement of a non-financial asset takes into account a market participant’s ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

An analysis of fair value measurement of financial and non-financial assets and liabilities is provided in note 43 to the financial statements.



4. INTEREST INCOME

Accounting Policy

Income is recognised to the extent that it is probable that the economic benefits will flow to the Company and revenue can be reliably measured. The specific recognition criteria, for each type of income, are given below. For all financial instruments measured at amortised cost, interest income or expense is recorded using the Effective Interest Rate (EIR). EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the Financial instrument or a shorter period, where appropriate, to the net carrying amount of the Financial asset or financial liability.

Interest on Overdue Rentals

Interest from overdue rentals have been accounted for on a cash basis.

Recognition of Moratorium interest income for credit facilities under moratoriums

The Company recognises the moratorium interest income on the concessionary rate during the moratorium period.

Recovery of written-off debts/disposal losses

Recovery of amounts previously written-off as bad and doubtful debts is recognised on a cash basis.

	2021/2022 Rs.	2020/2021 Rs.
Interest on leases	235,089,142	730,671,271
Interest on hire purchase	11,572	-
Interest on loans	445,976,453	704,912,705
Overdue interest	147,807,893	168,464,889
Recovery of written off contracts	30,525,472	66,145,244
Interest income on early terminated contracts	37,203,068	28,094,149
Interest on treasury bills in reverse repurchase agreements	62,428,974	41,466,484
Interest on bank deposits	88,085,738	48,171,828
Interest on gold loans	1,528,952,298	937,121,057
	<u>2,576,080,610</u>	<u>2,725,047,627</u>

5. INTEREST EXPENSES

Accounting Policy

Under SLFRS 9, interest income and Interest expense are recorded using the Effective Interest Rate method for all financial assets measured at amortised cost and all financial liabilities measured at amortised cost respectively. Revenue can be recognized only when it is probable that the economic benefits associated with the transaction will flow to the entity.

	2021/2022 Rs.	2020/2021 Rs.
Interest on fixed deposits	668,472,279	696,842,484
Interest on other borrowings	406,329,306	612,556,658
Interest on right of use asset-leased liability	25,478,575	20,009,922
Interest on debenture	166,360,280	47,070,376
Interest on bank loans	57,595,851	85,883,416
	<u>1,324,236,291</u>	<u>1,462,362,856</u>

6. NET INTEREST INCOME

Accounting Policy

Net interest margin is the difference between the interest income generated and the amount of interest paid out to lenders. A positive net interest margin indicates the efficiency in investing.

	2021/2022 Rs.	2020/2021 Rs.
Interest income	2,576,080,610	2,725,047,627
Interest expenses	1,324,236,291	1,462,362,856
	<u>1,251,844,319</u>	<u>1,262,684,771</u>

7. FEES AND COMMISSION INCOME

Accounting Policy

The Company earns fee and commission income from a diverse range of services it provides to its customers. Fees and commission income is accounted for as follows:

- Income earned on the execution of a significant act is recognised as revenue when the act is completed and
- Income earned from the provision of services is recognised as revenue as the services are provided.

	2021/2022 Rs.	2020/2021 Rs.
Documentation charges and service charges	583,615,531	189,228,734
Insurance commission income	7,951,498	24,236,945
	<u>591,567,029</u>	<u>213,465,679</u>

8 OTHER OPERATING INCOME

Accounting Policy

Other operating income includes income earned on other sources, which are not directly related to the normal operations of the Company and is recognized on cash basis.

	2021/2022 Rs.	2020/2021 Rs.
Gain on disposal of property, plant and equipment	-	1,893,053
Gain on sale of investment property	3,210,240	7,065,539
Dividend income	240,000	320,000
Sundry income	6,613,153	5,757,169
Gain from Foreign Currency- Saving	3,282,299	721,584
Rent income from investment property	-	543,950
Gain on expiration of operating lease agreements	1,719,551	-
	<u>15,065,243</u>	<u>16,301,295</u>

9 PERSONNEL EXPENSES

Accounting Policy

Personnel expenses include salaries, bonus, terminal benefit charges and other related expenses. The provision for bonus is recognized when it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made on the amount of the obligation. Employees are eligible for Employees' Provident Fund (EPF) contribution and Employees' Trust Fund (ETF) contributions in accordance with the respective statutes and regulations. Retirement benefit obligation is recognised in the Statement of Income based on an actuarial valuation carried out for the gratuity liability in accordance with Sri Lanka Accounting Standard - LKAS 19 - Employee Benefits.

	2021/2022 Rs.	2020/2021 Rs.
Directors' remuneration	17,063,000	14,732,000
Salaries and bonus	204,896,843	182,992,514
Defined contribution plan costs - EPF and ETF	27,126,024	27,148,707
Other staff related expenses	78,182,215	44,055,828
Provision for staff retirement benefits	6,051,551	7,163,721
	<u>333,319,633</u>	<u>276,092,770</u>

10 DEPRECIATION AND AMORTIZATION COST

Accounting Policy

Depreciation is calculated to write-off the cost of items of property, plant and equipment less their estimated residual values using the straight-line method over their estimated useful lives and is recognised in the Income Statement.

The estimated useful lives are as follows;

Plant	8 years
Furniture and fittings	6 years
Office equipment	6 years
Motor vehicles	6.5 years
Computer hardware	6 years
Investment property building	15 years

All classes of property, plant and equipment together with the reconciliation of carrying amounts and accumulated depreciation at the beginning and at the end of the year are given in Note 23.

Depreciation on right of use asset

Right-of-use assets are depreciated over the lease term of the assets as there is no reasonable certainty that the Company will obtain the ownership of such assets by the end of the lease term.

	2021/2022 Rs.	2020/2021 Rs.
Depreciation of property, plant and equipment and investment property	59,369,439	45,051,804
Depreciation of right-of-use assets	61,492,096	41,018,741
Amortisation of computer software	7,791,255	6,224,790
	<u>128,652,790</u>	<u>92,295,335</u>

11 IMPAIRMENT CHARGE FOR LEASE RENTALS RECEIVABLE, HIRE PURCHASE LOANS AND ADVANCES

Accounting Policy

The Company recognises the changes in the impairment provisions for loans and receivables which are assessed as per the SLFRS 9 - Financial Instruments. The methodology adopted by the Company in determining the same is explained in Note 18 to these financial statements.

	Note	2021/2022 Rs.	2020/2021 Rs.
Individual impairment expense	11.1	123,609,061	741,873,808
Collective impairment expense	11.1	369,295,240	(358,932,922)
		<u>492,904,301</u>	<u>382,940,886</u>

11.1 Product wise Impairment Charges/Reversal of charges

Lease rentals receivables		27,564,121	(2,105,416)
Hire purchases		904,401	(10,330,452)
Mortgage loans		12,520,723	8,873,492
Pledge loans		4,028	-
Personal and corporate loans		419,640,674	241,821,931
Group personal loans		(157,250,869)	48,017,704
Micro finance loans		182,366,821	56,181,196
Sale and lease back loans		1,000,000	-
Project financing loan		(89,188,808)	27,366,526
Gold loan		95,343,208	13,115,905
		<u>492,904,299</u>	<u>382,940,886</u>

12 OPERATING PROFIT BEFORE VALUE ADDED TAX ON FINANCIAL SERVICES

Accounting Policy

Expenditure recognition

Expenses are recognised in the income statement on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the income statement. For the purpose of presentation of the income statement, the "function of expenses" method has been adopted, on the basis that it presents fairly the elements of the Company's performance.

	Note	2021/2022 Rs.	2020/2021 Rs.
Operating profit before value added tax on financial services			
Operating profit before value added tax on financial services is stated after charging all expenses including the following;			
Depreciation and amortization		67,160,695	51,276,594
Depreciation on right of use asset		61,492,097	41,018,741
Auditors' remuneration - external audit current year		2,165,000	2,031,700
- Non-audit		1,649,195	2,009,000
Advertising and business promotion		106,957,115	31,879,573
Professional and legal fees		14,128,298	16,081,026
Operational expenses on investment property		1,334,520	956,475
Penalty charges imposed by the regulator	12.1	10,000,000	-

12.1 Penalty charges imposed by the regulator

Asia Asset Finance PLC has paid a fine of Rs. 10Mn for not being compliant with the section 25(1) of (a) of Finance Business Act, Direction No 01 of 2016 (Opening , closure and relocation of business places) and Direction No 06 of 2020 (Business expansion and operations) when opening new Branches. Subsequently, all branch openings were approved along with the approval for the 2022 business plan.

13 VAT ON FINANCIAL SERVICES

Accounting Policy

VAT on Financial services is calculated in accordance with Value Added Tax (VAT) Act No. 14 of 2002 and subsequent amendments thereto. The value base for the computation of value added tax on financial services is calculated by adjusting the economic depreciation computed on rates prescribed by the Department of Inland Revenue to the accounting profit before income tax and emoluments payable. Emoluments payable include cash benefits, non-cash benefits including terminal benefits. VAT on Financial services rate applied for the nine months period ended 31st December 2021 was 15% and with effect from January 2022 the rate has been increased to 18% in accordance with subsection (3).

	2021/2022 Rs.	2020/2021 Rs.
VAT on financial services	36,500,000	45,100,000

14 INCOME TAX EXPENSES

Accounting Policy

The effective tax rates and a reconciliation between the profit before tax and tax expense, as required by the Sri Lanka Accounting Standard - LKAS 12 on "Income Taxes" is given below. As per Sri Lanka Accounting Standard LKAS 12 "Income Taxes", tax expense is the aggregate amount included in determination of profit or loss for the period in respect of current and deferred taxation.

The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date and any adjustments to tax payable in respect of the previous year. Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and subsequent amendments thereto.

Major components of income tax expense for the year ended 31st March 2022 are as follows:

	Note	2021/2022 Rs.	2020/2021 Rs.
Statement of profit or loss			
Current income tax			
Current income tax charge	14.1	-	-
Deferred tax			
Deferred tax expense		83,720,568	41,551,058
Total income tax expense reported in the income statement		<u>83,720,568</u>	<u>41,551,058</u>
Statement of other comprehensive income			
Deferred tax			
Deferred tax expense		279,432	1,051,058
Total income tax expenses reported in the other comprehensive income		<u>279,432</u>	<u>1,051,058</u>
Current year net effect to the statement of comprehensive income		<u>84,000,000</u>	<u>42,602,116</u>

14.1 Reconciliation of accounting profit and taxable income

Accounting profit (profit before income tax)	202,282,301	86,747,176
Add : Disallowable expenses	708,835,125	548,550,814
Less : Allowable expenses	(862,791,247)	(614,650,323)
Less : Exempt income	(42,204,918)	(39,414,135)
Add : Adjusted business profit from leasing business	122,772,540	33,734,362
Statutory income	128,893,801	14,967,894
Tax loss brought forwarded and utilized	(128,893,803)	(14,967,894)
Taxable income/(loss)	-	-
Income tax expense	-	-
Effective income tax rate	24%	24%

Deferred tax assets

Accounting Policy

Deferred tax assets are recognised for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised except for the following:

Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and in respect of deductible temporary differences associated with investments in subsidiaries, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

As at	Note	31.03.2022 Rs.	31.03.2021 Rs.
Recognized under assets	14.2	135,556,677	225,034,806
Recognized under liabilities		(34,134,030)	(39,612,159)
Deferred tax asset balance		<u>101,422,647</u>	<u>185,422,647</u>

	Note	2021/2022 Rs.	2020/2021 Rs.
14 INCOME TAX EXPENSES (CONTD...)			
14.2 Deferred tax assets and liabilities relate to the following:			
Deferred tax liability			
Lease rental receivable		(16,542,204)	(22,235,694)
Property, plant and equipment		(17,591,826)	(16,432,676)
Right-of-use assets		-	(943,789)
		<u>(34,134,030)</u>	<u>(39,612,158)</u>
Deferred tax assets			
Retirement benefit obligation		7,871,131	7,232,491
Carried forward tax loss and unused tax credit	14.2.1	76,203,007	157,647,568
Transitional adjustment		42,935,265	57,247,021
Right-of-use assets		2,707,596	-
Provision for impairment of loans and receivables		5,839,678	2,907,727
		<u>135,556,677</u>	<u>225,034,806</u>
Net deferred tax asset		<u>101,422,647</u>	<u>185,422,647</u>

- 14.2.1** On a prudent basis the management has decided to evaluate the recoverability of carried forward tax loss based on the projected taxable profits for the next 3 years and expects to recover Rs. 317,512,530/- over this period and a deferred tax asset of Rs.76,203,007/- was recognised during the year. The management will annually re-evaluate the recoverability of this claim and adjust the deferred tax asset accordingly.

Deferred tax has been determined based on the effective tax rate of 24%.

The carrying amount of deferred tax assets is reviewed by the management at each reporting date and recognized to the extent of probable taxable profits in 3 years time as recommended by IR Act No. 24 of 2017.

15 CLASSIFICATION OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

Accounting Policy

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies describes how each category of financial instruments is measured and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in Sri Lanka Accounting Standard - SLFRS 9 'Financial Instruments' under the headings of the Statement of Financial Position.

As at 31st March 2022

	FVTOCI Rs.	Amortized Cost	Total Rs.
Assets			
Cash and cash equivalents	-	1,397,632,551	1,397,632,551
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	-	989,433,452	989,433,452
Loans and advances at amortized cost	-	14,729,182,119	14,729,182,119
Lease rentals receivable and hire purchase at amortized cost	-	1,084,117,530	1,084,117,530
Financial assets - fair value through OCI	506,659	-	506,659
Total financial assets	506,659	18,200,365,652	18,200,872,311

	Liabilities at amortized Cost	Total Rs.
Liabilities		
Due to customers	8,695,180,271	8,695,180,271
Debenture	2,072,877,339	2,072,877,339
Due to banks	38,990,640	38,990,640
Other borrowed funds	5,458,426,482	5,458,426,482
Total financial liabilities	16,265,474,732	16,265,474,732

As at 31st March 2021

	FVTOCI Rs.	Amortized Cost Rs.	Total Rs.
Assets			
Cash and cash equivalents	-	1,006,233,476	1,006,233,476
Investment in reverse repurchase agreements against treasury bills and bonds	-	654,692,844	654,692,844
Loans and advances at amortized cost	-	10,198,262,863	10,198,262,863
Lease rentals receivable and hire purchase at amortized cost	-	2,212,534,894	2,212,534,894
Financial assets - fair value through OCI	506,659	-	506,659
Total financial assets	506,659	14,071,724,077	14,072,230,736

	Liabilities at amortized Cost	Total Rs.
Financial liabilities		
Due to customers	7,011,525,892	7,011,525,892
Debenture	1,029,465,109	1,029,465,109
Due to banks	24,279,289	24,279,289
Other borrowed funds	4,778,758,726	4,778,758,726
Total financial liabilities	12,844,029,016	12,844,029,016



16 CASH AND CASH EQUIVALENTS

Accounting Policy

Cash and cash equivalents include cash in hand, placements with banks and loans at call and at short notice that are subject to an insignificant risk of changes in their fair value, and are used by the Company in the management of its short-term commitments. They are brought to financial statements at their face values or the gross values, where appropriate.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

	31.03.2022 Rs.	31.03.2021 Rs.
Cash in hand	75,887,122	79,452,195
Cheque in hand	11,430,400	12,416,189
Current accounts with banks	34,682,797	44,347,401
Savings accounts with banks	960,758,915	635,861,825
Savings accounts with banks in foreign currency	10,539,049	7,100,988
Short-term investment	304,334,268	227,054,877
	<u>1,397,632,551</u>	<u>1,006,233,476</u>

17 INVESTMENT IN REVERSE REPURCHASE AGREEMENTS AGAINST TREASURY BILLS AND BONDS

Accounting Policy

Securities purchased under agreements to re-sell at a specified future date are recognised in the Statement of Financial Position. The consideration paid, including accrued interest, is recorded in the Statement of Financial Position, reflecting the transaction's economic substance as a loan provided by the Company. The difference between the purchase and resale prices is recorded in 'Interest income' and is accrued over the life of the agreement using the EIR.

	31.03.2022 Rs.	31.03.2021 Rs.
Reverse repurchase agreements against treasury bills and bonds	989,433,452	654,692,844
	<u>989,433,452</u>	<u>654,692,844</u>



18 FINANCIAL ASSETS AT AMORTISED COST - LOANS AND ADVANCES

Accounting Policy

Loans and receivables' are measured at amortised cost using the EIR, less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in 'Interest income' in the Statement of Income. The losses arising from impairment are recognised in the Statement of Income in "impairment charges for loans and receivables and other losses".

Leasing

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

Gold Loans

Gold loan is a secured loan taken by the borrower from a lender by pledging their gold articles (within the range of 18-24 carats) as a collateral. The loan amount provided is a certain percentage of the gold, based on the current market value and quality of gold.

Restructured Loans and Receivables

The Company seeks to restructure loans and receivables with additional collateral when the client does not meet payments on a timely manner. This may involve extending the payment arrangements and the agreement of new receivable conditions. Once the terms have been re-negotiated, any impairment is measured using the original EIR as calculated before the modification of terms and the receivable is no longer considered past due. Management continually reviews renegotiated loans and receivables to ensure that all criteria are met and that future payments are likely to occur. The loans and receivables continue to be measured at amortised cost using the original EIR and are subject to an individual or collective impairment assessment.

	Note	31.03.2022 Rs.	31.03.2021 Rs.
Leases, Hire purchases, Loans and advances			
Gross lease, hire purchases, loans and advances	18.1	17,345,012,641	14,033,995,103
Less: Provision for impairment - Collective	18.2	(555,065,479)	(418,356,995)
Less: Provision for impairment -Individual		(944,882,357)	(1,173,075,194)
Less: Net Interest Margin	18.3	(31,765,157)	(31,765,157)
Net lease, hire purchases, loans and advances		<u>15,813,299,648</u>	<u>12,410,797,757</u>

18.1 Leases, Hire purchases, Loans and advances - Analysis by product

Lease rentals receivables	1,256,149,473	2,414,730,953
Hire purchases	1,193,001	29,626,496
Mortgage loans	1,444,338,182	1,559,124,295
Pledge loans	105,279,648	135,919,742
Personal and corporate loans	1,719,221,402	1,877,957,217
Group personal loans	379,457,897	474,447,574
Cheque and invoice discounting	-	12,445,717
Micro finance loans	747,404,666	761,279,714
Sale and lease back loans	1,000,001	1,000,001
Project financing loan	4,120,150	144,966,622
Gold loan	11,686,848,221	6,622,496,772
	<u>17,345,012,641</u>	<u>14,033,995,103</u>





18 FINANCIAL ASSETS AT AMORTISED COST - LOANS AND ADVANCES (CONTD...)

18.2 Impairment Provisions - Analysis by product

	31.03.2022 Rs.	31.03.2021 Rs.
Lease rentals receivables	157,195,641	216,986,253
Hire purchases	1,193,001	21,366,576
Mortgage loans	125,494,317	112,973,594
Pledge loans	4,028	-
Personal and corporate loans	790,916,165	499,518,897
Group personal loans	101,630,173	277,125,239
Micro finance loans	271,437,796	150,910,579
Sale and lease back loans	1,000,000	-
Project financing loan	3,930,278	251,645,811
Gold loan	47,146,436	60,905,240
	<u>1,499,947,835</u>	<u>1,591,432,189</u>

18.3 Net Interest Margin Analysis by product

Lease rentals receivable	14,836,302	14,836,302
Mortgage loans	7,708,361	7,708,361
Personal and corporate loans	4,012,749	4,012,749
Group personal loans	2,472,315	2,472,315
Micro finance loans	2,735,430	2,735,430
	<u>31,765,157</u>	<u>31,765,157</u>

18.4 Impairment charge to the income statement

Leases, Hire purchases, loans and advances to customers		
Stage 1	(63,059,492)	(3,006,746)
Stage 2	127,581,256	(36,786,400)
Stage 3	428,382,536	422,734,032
Total	<u>492,904,300</u>	<u>382,940,886</u>

18.5 Leases, Hire purchases, Loans and advances - Product Analysis by Stagewise

	31.03.2022 Rs.				31.03.2021 Rs.			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Leases and hire purchases	765,857,115	177,204,900	314,280,459	1,257,342,474	2,047,968,605	63,409,092	332,979,753	2,444,357,449
Loans and advances	10,021,766,408	1,221,280,250	4,844,623,509	16,087,670,167	7,096,003,282	717,054,715	3,776,579,656	11,589,637,654
	<u>10,787,623,523</u>	<u>1,398,485,150</u>	<u>5,158,903,968</u>	<u>17,345,012,641</u>	<u>9,143,971,887</u>	<u>780,463,807</u>	<u>4,109,559,409</u>	<u>14,033,995,103</u>

18.6 Leases , Hire purchase, Loans and Advances Movements in provision for impairment during the year (Under SLFRS 9)

	Movement in stage 1 impairment	Movement in stage 2 impairment	Movement in stage 3 impairment	Movement in total impairment	Movement in stage 1 impairment	Movement in stage 2 impairment	Movement in stage 3 impairment	Movement in total impairment
Balance at the beginning of the year	151,051,434	24,563,202	1,415,817,553	1,591,432,189	154,058,180	61,349,602	979,850,268	1,195,258,050
Charge/(write back) to the income statement	(63,059,492)	127,581,256	428,382,536	492,904,300	(3,006,746)	(36,786,400)	422,734,032	382,940,886
Other adjustments / (write off) during the year	-	-	(584,388,654)	(584,388,654)	-	-	13,233,253	13,233,253
Balance at the end of the year	<u>87,991,942</u>	<u>152,144,457</u>	<u>1,259,811,436</u>	<u>1,499,947,835</u>	<u>151,051,434</u>	<u>24,563,202</u>	<u>1,415,817,553</u>	<u>1,591,432,189</u>

18 FINANCIAL ASSETS AT AMORTISED COST - LOANS AND ADVANCES (CONTD...)

18.7 Financial assets at amortised cost - Lease rentals receivable and hire purchase

	31.03.2022				31.03.2021			
	Rs.				Rs.			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Gross lease rental receivable and hire purchases	765,857,115	177,204,900	314,280,459	1,257,342,474	2,047,968,605	63,409,092	332,979,753	2,444,357,449
Less: Provision for impairment	(8,566,631)	(16,026,905)	(133,795,106)	(158,388,642)	(20,657,455)	(4,257,410)	(192,071,388)	(216,986,253)
Less: Net Interest Margin	(14,836,302)	-	-	(14,836,302)	(14,836,302)	-	-	(14,836,302)
Net lease rentals receivable and hire purchase	742,454,181	161,177,995	180,485,353	1,084,117,530	2,012,474,847	59,151,682	140,908,365	2,212,534,894

18.7.1 Movement in provision for impairment during the year (Under SLFRS 9)

	31.03.2022				31.03.2021			
	Rs.				Rs.			
	Movement in stage 1 impairment	Movement in stage 2 impairment	Movement in stage 3 impairment	Movement in total impairment	Movement in stage 1 impairment	Movement in stage 2 impairment	Movement in stage 3 impairment	Movement in total impairment
Balance at the beginning of the year	20,657,455	4,257,410	192,071,388	216,986,253	95,808,518	32,169,730	160,346,489	288,324,737
Charge/(write back) to the income statement	(12,090,824)	11,769,496	29,078,450	28,757,122	(75,151,063)	(27,912,320)	31,099,899	(71,963,484)
Other adjustments / (write off) during the year	-	-	(87,354,733)	(87,354,733)	-	-	625,000	625,000
Balance at the end of the year	8,566,631	16,026,905	133,795,106	158,388,642	20,657,455	4,257,410	192,071,388	216,986,253

	Note	31.03.2022 Rs.	31.03.2021 Rs.
18.7.2 Lease rentals receivable and hire purchase			
Net lease rentals receivables	18.7.3	1,084,117,530	2,204,274,974
Net hire purchases receivable	18.7.4	-	8,259,920
		1,084,117,530	2,212,534,894
18.7.3 Lease rentals receivables			
Gross rentals receivable		1,369,603,215	2,694,068,164
Less: Unearned income		(135,046,914)	(369,939,895)
Pre-paid rentals		(1,109,558)	(1,488,469)
Lease capitalized charges		22,702,730	92,091,153
		1,256,149,473	2,414,730,953
Less: Net Interest Margin		(14,836,302)	(14,836,302)
Provision for impairment losses		(157,195,641)	(195,619,677)
		1,084,117,530	2,204,274,974





		31.03.2022 Rs.	31.03.2021 Rs.
18	FINANCIAL ASSETS AT AMORTISED COST - LOANS AND ADVANCES (CONTD...)		
18.7	Financial assets at amortised cost - Lease rentals receivable and hire purchase (contd...)		
18.7.4	Hire purchase receivables		
	Gross rentals receivable	1,193,001	29,626,496
	Less: Unearned income	-	-
	Pre-paid rentals	-	-
	Provision for impairment losses	(1,193,001)	(21,366,576)
		<u>-</u>	<u>8,259,920</u>
18.7.5	Age analysis of lease and hire purchase		
18.7.5.1	Lease and hire purchase receivable not later than 1 year		
	Gross rentals receivable	490,952,424	414,150,544
	Less: Unearned income	(21,917,993)	(7,365,976)
	Pre-paid rentals	(89,712)	(1,488,469)
	Lease capitalized charges	2,208,193	22,308,097
	Net Interest Margin	(14,836,302)	(14,836,302)
	Provision for impairment losses	(56,565,510)	(91,035,991)
		<u>399,751,100</u>	<u>321,731,904</u>
18.7.5.2	Lease and hire purchase receivable later than 1 year and not later than 5 years		
	Gross rentals receivable	879,843,793	2,309,544,116
	Less: Unearned income	(113,128,921)	(362,573,919)
	Pre-paid rentals	(1,019,846)	-
	Lease capitalized charges	20,494,536	69,783,055
	Provision for impairment losses	(101,823,132)	(125,950,262)
		<u>684,366,430</u>	<u>1,890,802,990</u>
18.8	Financial assets at amortised cost - Loans and advances		
		31.03.2022	31.03.2021
		Rs.	Rs.
		Stage 1	Stage 1
		Stage 2	Stage 2
		Stage 3	Stage 3
		Total	Total
	Gross loans and advances receivables	10,021,766,408	7,096,003,282
	Less: Provision for impairment	79,425,311	130,393,979
	Less: Provision Net Interest Margin	16,928,855	16,928,855
	Net Loans and advances receivables	<u>9,925,412,242</u>	<u>6,948,680,448</u>
		<u>1,085,162,698</u>	<u>696,748,923</u>
		<u>3,718,607,179</u>	<u>2,552,833,491</u>
		<u>14,729,182,119</u>	<u>10,198,262,863</u>

18 FINANCIAL ASSETS AT AMORTISED COST - LOANS AND ADVANCES (CONTD...)

18.8 Financial assets at amortised cost - Loans and advances (contd...)

18.8.1 Movement in provision for impairment during the year (Under SLFRS 9)

	31.03.2022				31.03.2021			
	Rs.				Rs.			
	Movement in stage 1 impairment	Movement in stage 2 impairment	Movement in stage 3 impairment	Movement in total impairment	Movement in stage 1 impairment	Movement in stage 2 impairment	Movement in stage 3 impairment	Movement in total impairment
Balance at the beginning of the year	130,393,979	20,305,792	1,223,746,165	1,374,445,936	58,249,662	29,179,872	819,503,779	906,933,313
Charge/(write back) to the income statement	(50,968,668)	115,811,760	399,304,086	464,147,178	72,144,317	(8,874,080)	391,634,133	454,904,370
Other adjustments/(write off) during the year	-	-	(497,033,921)	(497,033,921)	-	-	12,608,253	12,608,253
Balance at the end of the year	79,425,311	136,117,552	1,126,016,330	1,341,559,193	130,393,979	20,305,792	1,223,746,165	1,374,445,936

18.8.2 Impairment charge to the Income Statement

	31.03.2022	31.03.2021
	Rs.	Rs.
Loans and advances to customers		
Stage 1	(50,968,668)	72,144,317
Stage 2	115,811,760	(8,874,080)
Stage 3	399,304,086	391,634,133
Total	464,147,178	454,904,370



19 OTHER ASSETS

Accounting Policy

The Company classifies all their other assets, as other financial assets and other non-financial assets. Other non-financial assets mainly comprise the advance payments, VAT recoverable and sundry receivable.

Deferred Expenses

Costs of acquiring new businesses including commission, marketing expenses which vary with and directly related to production of new businesses are deferred to the extent that these costs are recoverable in the future. All other acquisition costs are recognised as an expense when incurred. Subsequent to initial recognition, all the other expenses are deferred.

	31.03.2022 Rs.	31.03.2021 Rs.
Other assets	123,152,101	121,313,548
	<u>123,152,101</u>	<u>121,313,548</u>

20 INCOME TAX RECEIVABLE

Balance at the beginning of the year	27,698,763	27,736,580
Income tax expense for the year	-	-
	<u>27,698,763</u>	<u>27,736,580</u>
Tax credits		
WHT and notional tax	-	(37,817)
Balance at the end of the year	<u>27,698,763</u>	<u>27,698,763</u>

21 ADVANCES, DEPOSITS AND PREPAYMENTS

Accounting Policy

Advance payments are carried at historical cost.

Advance and prepayments	14,491,178	18,999,133
Refundable deposits	19,917,100	24,071,605
Tax receivable	-	6,354,799
Other receivables	70,109,750	102,981,893
	<u>104,518,028</u>	<u>152,407,430</u>

22 FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Unquoted cumulative redeemable preference shares

	31.03.2022	Directors' valuation* Rs.	31.03.2021	Directors' valuation* Rs.
Platinum Reality Investment Limited	25,000	6,500,000	25,000	6,500,000
Less: Impairment charge		<u>(6,500,000)</u>		<u>(6,500,000)</u>

Unquoted Ordinary shares

	31.03.2022	Directors' valuation* Rs.	31.03.2021	Directors' valuation* Rs.
Finance Houses Consortium (Private) Limited	45,000	200,000	45,000	200,000
Credit Information Bureau of SL (CRIB)	67	306,659	67	306,659
	<u>45,067</u>	<u>506,659</u>	<u>45,067</u>	<u>506,659</u>

*The Directors' valuation of non-quoted securities based on cost of investment less impairment amounts to Rs.506,659/- (2021 - Rs.506,659/-).

23 PROPERTY, PLANT AND EQUIPMENT

Accounting Policy

Basis of Recognition

Property, plant and equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, plant and equipment are recognised if it is probable that future economic benefits associated with the assets will flow to the company and the cost of the assets can be measured reliably.

Basis of measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to, or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located and capitalized borrowing costs. Purchased software that is integral to the functionality of the related equipment is capitalized as a part of computer equipment.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

The company applies the cost model to property, plant and equipment and records at cost of purchase or construction together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses.

23 PROPERTY, PLANT AND EQUIPMENT (CONTD...)

Subsequent costs

The cost of replacing a part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the company and its cost can be measured reliably. The cost of day today servicing of property, plant and equipment is charged to the statement of income as incurred.

Repairs and maintenance

Repairs and maintenance are charged to the statement of income during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

De-recognition

Property, plant and equipment are derecognized on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other operating income' in the statement of income in the year the asset is de-recognized.

Depreciation

Depreciation is recognized in the statement of profit or loss on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment since this method most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset.

The estimated useful lives are as follows;

Plant	8 years
Furniture and fittings	6 years
Office equipment	6 years
Motor vehicles	6.5 years
Computer hardware	6 years

The depreciation rates are determined separately for each significant part of an item of property, plant and equipment, and commence to depreciate when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by the management. Depreciation methods, useful lives and residual values are re-assessed at each reporting date and adjusted, if appropriate.

Gross carrying amounts

	Balance as at 01.04.2021 Rs.	Additions Rs.	Disposals/ transfers Rs.	Impairment for the year Rs.	Balance as at 31.03.2022 Rs.
Freehold assets					
Cost					
Plant	25,930,613	-	-	(5,419,927)	20,510,686
Motor vehicle	59,999,561	10,125,000	(1,655,020)	-	68,469,541
Office equipment	206,555,937	43,181,389	(7,800)	-	249,729,526
Computers	57,677,379	24,671,428	-	-	82,348,807
Furniture and fittings	33,341,615	7,116,973	-	-	40,458,588
	<u>383,505,105</u>	<u>85,094,790</u>	<u>(1,662,820)</u>	<u>(5,419,927)</u>	<u>461,517,148</u>
		Balance as at 01.04.2021 Rs.	Charge for the year Rs.	Disposals/ transfers Rs.	Balance as at 31.03.2022 Rs.
Accumulated depreciation					
Plant		17,278,218	3,232,468	-	20,510,686
Motor vehicle		48,199,858	4,346,715	(1,195,668)	51,350,905
Office equipment		106,959,873	30,903,000	-	137,862,873
Computers		33,819,804	8,892,777	-	42,712,581
Furniture and fittings		20,811,176	3,891,117	-	24,702,293
		<u>227,068,929</u>	<u>51,266,077</u>	<u>(1,195,668)</u>	<u>277,139,338</u>
				31.03.2022 Rs.	31.03.2021 Rs.
Net Book value					
Plant				-	8,652,395
Motor vehicle				17,118,636	11,799,703
Office equipment				111,866,653	99,596,064
Computers				39,636,226	23,857,575
Furniture and fittings				15,756,295	12,530,439
				<u>184,377,810</u>	<u>156,436,176</u>

23 PROPERTY, PLANT AND EQUIPMENT (CONTD....)

23.1 During the financial year, the Company acquired property, plant and equipment to the aggregate value of Rs.85,094,790/- (2021 - Rs.65,151,353/-). Cash payments amounting to Rs.81,044,789/- (2021 - Rs.65,151,353/-) was paid during the year for the purchases of property, plant and equipment.

23.2 Property, plant and equipment include fully depreciated assets having a gross carrying amount of Rs. 69,648,768/- (2021- Rs. 43,962,104.50/-).

23.3 Temporarily idle property, plant and equipment

There were no property, plant and equipment idling as at 31st March, 2022 and 31st March, 2021.

23.4 Title restriction on property, plant and equipment

There was no restriction on the title of property, plant and equipment as at 31st March, 2022 and 31st March, 2021.

23.5 Property, plant and equipment pledged as securities for liabilities

There were no items of property, plant and equipment pledged as securities for liabilities as at 31st March, 2022 and 31st March, 2021.

23.6 Impairment of Plant

During the year Company conducted an impairment testing for the property, plant and equipment and identified an impairment loss of Rs. 5,419,927/- on plant.

23.7 Borrowing Costs

There were no capitalized borrowing cost related to the acquisition of property, plant and equipment during the financial year 2022 and 2021.

24 RIGHT - OF - USE ASSETS ON LEASE

Accounting Policy

Basis of recognition

The Company applies Sri Lanka Accounting Standard SLFRS 16 "Leases" in accounting for all leasehold rights except for short-term leases, which are held for use in the provision for services.

Basis of Measurement

The Company recognises right-of-use assets at the date of commencement of the lease, which is the present value of lease payments to be made over the lease term. Right-of-use assets are measured at cost less any accumulated amortization and impairment losses and adjusted for any re-measurement of lease liabilities. The cost of the right-of-use assets includes the amount of lease liabilities recognised, initial direct cost incurred, and lease payments made at or before the commencement date less any lease incentives received.

Depreciation

Right-of-use assets are depreciated over the lease term of the assets as there is no reasonable certainty that the Company will obtain the ownership of such assets by the end of the lease term.

De-recognition/ Termination

Right-of-use assets are derecognized on termination of the agreement with the lessor or when no future economic benefits are expected from its use. Any gain or loss arising on de-recognition of the asset is recognised in 'Other operating income' in the statement of income in the year the asset is de-recognized.

	31.03.2022 Rs.	31.03.2021 Rs.
Cost		
Balance at the beginning of the year	288,006,699	166,388,062
Additions/renewal of operating lease during the year	42,020,478	121,618,637
Capitalized from advance during the year	5,980,000	-
Expiration of operating lease agreement during the year	(7,821,939)	-
Balance at the end of the year	328,185,238	288,006,699
Accumulated amortization		
Balance at the beginning of the year	70,196,346	29,177,605
Amortization for the year	61,492,097	41,018,741
Balance at the end of the year	131,688,443	70,196,346
Net book value	196,496,795	217,810,352



25 INVESTMENT PROPERTY

Accounting Policy

Investment property is property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, to be used in the production or supply of goods or services or for administrative purposes.

Investment properties are initially recognised at cost. Subsequent to initial recognition, the investment properties are stated at cost.

De-recognition

Investment properties are de-recognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property is recognised in the statement of income in the year of retirement or disposal.

Subsequent transfers to/from investment property

Transfers are made to investment property when, and only when, there is a change in use, evidenced by the end of owner occupation, commencement of an operating lease to another party or completion of construction or development.

Transfers are made from investment property when, and only when, there is a change in use, evidenced by commencement of owner occupation or commencement of development with a view to sell.

For a transfer from investment property to owner occupied property or inventories, the deemed cost of property for subsequent accounting is its fair value at the date of change in use. If the property occupied by the company as an owner occupied property becomes an investment property, the company accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use.

For a transfer from inventories to investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the statement of profit or loss. When the company completes the construction or development of a self-constructed investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the statement of income.

The estimated useful life of the buildings is assessed as 15 years.

	31.03.2022 Rs.	31.03.2021 Rs.
Cost		
Balance at the beginning of the year	376,158,647	399,678,109
Acquisitions during the year	-	315,000
Disposals during the year	(9,000,000)	(23,834,462)
Balance at the end of the year	367,158,647	376,158,647
Accumulated Depreciation		
Balance at the beginning of the year		-
Charge for the year	8,103,362	
Balance at the end of the year	8,103,362	-
Net book value	<u>359,055,285</u>	<u>376,158,647</u>

Fair value of the investment property for the purpose of disclosure in note 25.4 was ascertained by valuations carried out by independent valuers as required by LKAS 40.

25.1 Direct operational expenses recognised in respect to the above investment property is disclosed in Note 11.

25.2 Rent income recognised in respect to the above investment property is disclosed in Note 08.

25.3 **Advance Received for Investment Property**

Sandiyakalikuda & Mundalamakadu of Puttalam Rd,
No:723/53, "Lake Terrace" Jayasinghe Mawatha, Korathota

1,000,000	-
1,063,000	1,063,000
<u>2,063,000</u>	<u>1,063,000</u>





25 INVESTMENT PROPERTY (CONTD..)

25.4 Fair value of the investment property

Location of the land	Valuer's name and report date	Total extent	31.03.2022		31.03.2021	
			Fair value Rs.	Cost Rs.	Fair value Rs.	Cost Rs.
Lot 05, Dangahahena Land, Anamaduwa Road, Andigama.	D. Jayawardene (Incorporated Valuer) - valuation report dated 17th March 2020.	0a-0R-39.04 P (0.09965 Ha)	12,000,000	1,250,000	12,000,000	1,250,000
No 25/20, Kalyani Mawatha, Mabola, Wattala.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March 2019.	0A-01R-12.30P	48,700,000	12,453,317	48,700,000	12,453,317
Manipay Land (No 55 Nachchimar Kovil Road, Manipay).	V. Selvanayakam AIV (Incorporated Valuer) - valuation report dated 08th April 2019.	02R-10P (02655 Ha)	-	-	13,000,000	9,000,000
No;21,14th Lane,I.Jothipala Mawatha,Malabe.	D. Jayawardene (Incorporated Valuer) - valuation report dated 14th March 2020.	0A-0R-10.00 P (0.0253 Ha)	16,200,000	12,865,866	16,200,000	12,865,866
Lot 1-46 Plan no;3393 at Tembiligaha, Pallegama, Gampola.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March 2019.	02A-02R-15 P	20,500,000	15,064,221	20,500,000	15,064,221
Lot no;1 in Plan no;5644 at Lenadora,Dambulla.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March 2019.	01A-02R-02.60 P (06122 Ha)	47,800,000	16,644,799	47,800,000	16,644,799
Oslo Furnitures Industries (Pvt) Ltd, Welagane, Maspotha,Kurunegala.	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March 2022.	0A-01R-35.00 P (0.1897 Ha)	47,000,000	46,344,684	52,500,000	46,344,684
Sandiyakalikuda & Mundalamakadu of Puttalam Rd, Mundalama.	D. Jayawardene (Incorporated Valuer) - valuation report dated 14th March 2020.	05A-03R-01P	50,400,000	35,300,000	50,400,000	35,300,000
Karukottiheevu,Thamputtai 02,Akkaraipattu.	D. Jayawardene (Incorporated Valuer) - valuation report dated 14th March 2020.	10A-01R-05P (4.1602 Ha)	115,000,000	95,236,734	115,000,000	95,236,734
Galapitamillahena, Polarambegama, Kegalle.	D. Jayawardene (Incorporated Valuer) - valuation report dated 25th March 2020.	03A-02R-21.00P (1.4693 Ha.)	25,000,000	25,374,000	25,000,000	25,374,000
No;95,Mallattawela,Wellawaya	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th July 2019.	01A-0R-11.80 P (0.04346 Ha)	10,100,000	5,255,135	10,100,000	5,255,135
Lot No;153B in Plan no;4813/99 at Udangawa, Ambanpola.	D. Jayawardene (Incorporated Valuer) - valuation report dated 05th April 2021.	(0.325 Ha)	13,000,000	12,103,872	13,000,000	12,103,872
Lot No;1 in Plan no;1520 & Lot no;1 in Plan no;1522, "EVERTON ESTATE", Pothupitiya Road, Rakwana	D. Jayawardene (Incorporated Valuer) - valuation report dated 26th March 2019.	73A-03R- 17.50P	62,000,000	27,357,721	62,000,000	27,357,721

25 INVESTMENT PROPERTY (CONTD..)

25.4 Fair value of the investment property (contd....)

Location of the land	Valuer's name and report date	Total extent	31.03.2022		31.03.2021	
			Fair value Rs.	Cost Rs.	Fair value Rs.	Cost Rs.
No:723/53, "Lake Terrace" Jayasinghe Mawatha, Korathota Road, Athurugiriya.	D. Jayawardene (Incorporated Valuer) - valuation report dated 05th April 2021.	23.52 P	7,500,000	6,016,123	7,500,000	6,016,123
"Kopiwatta" Lot No:A, Plowatta Road, Minuwangoda.	D. Jayawardene (Incorporated Valuer) - valuation report dated 05th April 2021.	01A-0R-01..49P (0.4085 Ha.)	55,000,000	55,892,177	55,000,000	55,892,177
			<u>530,200,000</u>	<u>367,158,647</u>	<u>548,700,000</u>	<u>376,158,647</u>
			Opening Balance Rs.	Additions Rs.	Disposals Rs.	Closing Balance Rs.
Cost			376,158,647	-	(9,000,000)	367,158,647
Accumulated depreciation			-	(8,103,362)	-	(8,103,362)
			<u>376,158,647</u>	<u>(8,103,362)</u>	<u>(9,000,000)</u>	<u>359,055,285</u>

Investment properties include bare lands and buildings acquired by the Company from clients who had defaulted on accommodations granted and purchased properties. These properties are held by the Company for capital appreciation and rental purposes.

Changes in fair values are recognised as gains in the statement of income and included in 'Net other operating income'.

25.6 Measurement of fair values

25.6.1 Fair value hierarchy

The fair value of investment property was determined by external, independent property valuers, with appropriately recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuers provide the fair value of the Company's investment property portfolio once in three years and the latest valuation done ranges from 31 March 2022 to 31 March 2019. Except for Manipay land (No 55 Nachchimar Kovil Road, Manipay), the fair value of all the properties has been determined based on valuation performed by Mr. D. Jayawardene, Incorporated Valuer, B. Sc. Estate Mgt. & Valuation (Special) A.I.V. (Sri Lanka). Manipay Land was fair valued by Mr. V.Selvanayakam FIV (Sri Lanka) Dip in Agriculture (sri Lanka).

25.6.2 Valuation technique

The following table shows the valuation techniques used in measuring the fair value of investment property, as well as the significant unobservable inputs used.

Valuation Technique	Significant unobservable inputs	Interrelationship between key unobservable input and fair value measurement
Market comparison method - value derived based on recent transactions of similar properties	Per perch value was derived based on similar property values . The value of a perch in the property portfolio ranges from Rs.400,000 to Rs.10,000,000 in the Colombo area and Rs.28,000 to Rs.400,000 outside the Colombo area	The estimated fair value would increase/(decrease) if: Per perch value was higher / (lesser)
Depreciated replacement cost method	Value per square feet determined based on similar properties value and depreciated for period used.	The estimated fair value would increase/(decrease) if: Depreciation rate for building was lesser/(higher)

26 INTANGIBLE ASSETS

Accounting Policy

The Company's intangible assets include the value of computer software.

Basis of recognition

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Company in accordance with the Sri Lanka Accounting Standard- LKAS 38 on 'Intangible Assets'.

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are stated in the statement of financial position at cost less any accumulated amortisation and any accumulated impairment losses, if any.

Subsequent expenditure

Subsequent expenditure on intangible assets is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Useful economic lives, amortization and impairment

Intangible assets with finite lives are amortized over the useful economic life. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortization period or method, as appropriate, and they are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognised in the statement of income in the expense category consistent with the function of the intangible asset. Indefinite-lived intangible assets are not amortised, but are tested for impairment annually or more frequently if events or circumstances indicate the asset may be impaired. Only finite-lived intangible asset is computer software of the Company. There are no indefinite-lived intangible assets which are subject to annual impairment test. Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted, if appropriate. The Company assumes that there is no residual value for its intangible assets.

Amortization is calculated using the straight- line method to write down the cost of intangible assets to their residual values over their estimated useful economic lives at the rates as specified below;

Computer software - 8 years

De-recognition

Intangible assets are de-recognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in the profit or loss in the year the asset is derecognised.

	Balance as at 01.04.2021 Rs.	Additions Rs.	Disposals / transfers Rs.	Balance as at 31.03.2022 Rs.
Gross carrying amounts				
Cost				
Intangible asset	55,064,066	12,276,583	(3,099,906)	64,240,743
	<u>55,064,066</u>	<u>12,276,583</u>	<u>(3,099,906)</u>	<u>64,240,743</u>
	Balance as at 01.04.2021 Rs.	Charge for the year Rs.	Disposals / transfers Rs.	Balance as at 31.03.2022 Rs.
Amortization				
Intangible asset	14,112,277	7,791,255	(1,857,068)	20,046,464
	<u>14,112,277</u>	<u>7,791,255</u>	<u>(1,857,068)</u>	<u>20,046,464</u>
Net book value			31.03.2022 Rs.	31.03.2021 Rs.
Intangible asset			44,194,279	40,951,790
			<u>44,194,279</u>	<u>40,951,790</u>

There were no restrictions on the title of the intangible assets as at the reporting date. Further, there were no items pledged as securities for liabilities.

27 DUE TO BANKS

Accounting Policy

Due to banks include bank overdrafts and 'interest expenses' in the Income Statement.

	31.03.2022 Rs.	31.03.2021 Rs.
Due to banks- bank overdrafts	38,990,640	24,279,289
	<u>38,990,640</u>	<u>24,279,289</u>



28 OTHER LIABILITIES

Accounting Policy

Other liabilities include, VAT on Financial Services payable, Tax payable, accrued expenses payable, dividend payable and other amount payable. These liabilities are recorded at amounts expected to be payable at the reporting date.

	31.03.2022 Rs.	31.03.2021 Rs.
VAT on FS payable	19,219,220	4,469,220
Customer related payable	11,323,850	11,316,985
Tax payable	814,949	482,335
Accrued expenses	38,189,711	9,023,388
Dividend payable	295,240	295,240
Other payable	10,384,389	14,721,233
	<u>80,227,359</u>	<u>40,308,402</u>

29 FINANCIAL LIABILITIES - OTHER BORROWED FUNDS

Accounting Policy

Other borrowed funds include other long-term and short term loans obtained from banks and Financial Institutions. Subsequent to initial recognition, these are measured at their amortised cost using the EIR method. EIR is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the Statement of Income. Gains and losses are recognised in the Statement of Income when the liabilities are de-recognised as well as through the EIR amortisation process.

	Note	31.03.2022 Rs.	31.03.2021 Rs.
Securitized borrowings	29.1	3,863,981,300	4,323,450,984
Bank loans	29.2	1,594,445,182	455,307,742
		<u>5,458,426,482</u>	<u>4,778,758,726</u>

29.1 Securitized borrowings

	As at 01.04.2021 Rs.	Loans obtained Rs.	Interest for the period Rs.	Repayments Rs.	As at 31.03.2022 Rs.
Securitization Loan 22 - HNB Bank Trust	280,989,622	-	23,077,534	(304,067,157)	-
Securitization Loan 24 - NSB Trust	127,023,473	-	3,048,729	(130,072,203)	-
Securitization Loan 25 - HNB Bank Trust	204,309,441	-	4,020,990	(208,330,430)	-
Securitization Loan 26 - Peoples Bank Trust	67,520,067	-	2,609,911	(70,129,978)	-
Securitization Loan 28 - Peoples Bank Trust	171,948,283	-	5,521,087	(177,469,370)	-
Securitization Loan 29 - HNB Bank Trust	137,327,039	-	7,301,322	(144,628,362)	-
Securitization Loan 30 - Peoples Bank Trust	253,594,074	-	7,915,235	(261,509,308)	-
Securitization Loan 31 - HNB Bank Trust	120,052,526	-	1,191,678	(121,244,204)	-
Securitization Loan 32 - HNB Bank Trust	433,617,955	-	24,332,614	(457,950,570)	-
Securitization Loan 33 - HNB Bank Trust	602,690,118	-	48,222,699	(518,925,253)	131,987,564
Securitization Loan 34 - HNB Bank Trust	1,072,138,402	-	96,178,232	(674,025,371)	494,291,263
Securitization Loan 35 - HNB Bank Trust	515,185,264	-	36,560,545	(214,840,785)	336,905,024
Securitization Loan 36 - HNB Bank Trust	337,054,720	663,000,000	71,080,803	(392,591,653)	678,543,870
Securitization Loan 37 - HNB Bank Trust	-	500,000,000	24,478,093	(88,014,348)	436,463,745
Securitization Loan 38 - HNB Bank Trust	-	600,000,000	27,935,879	-	627,935,879
Securitization Loan 39 - HNB Bank Trust	-	1,000,000,000	22,757,294	-	1,022,757,294
Securitization Loan 40 - HNB Bank Trust	-	135,000,000	96,661	-	135,096,661
	<u>4,323,450,984</u>	<u>2,898,000,000</u>	<u>406,329,306</u>	<u>(3,763,798,991)</u>	<u>3,863,981,300</u>

29.2 Bank loans

	As at 01.04.2021 Rs.	Loans obtained Rs.	Interest for the period Rs.	Repayments Rs.	As at 31.03.2022 Rs.
DFCC Vardhana Bank 02	12,499,985	-	198,293	(12,698,278)	-
Sampath Bank Loan 02	15,277,779	-	169,288	(15,447,067)	-
DFCC Vardhana Bank 03	78,124,978	-	4,626,723	(67,126,731)	15,624,970
HNB Bank Loan 04	-	350,000,000	9,177,067	(38,337,067)	320,840,000
Nations Trust Bank Loan 02	21,600,000	-	392,486	(21,992,486)	-
DFCC Vardhana Bank 04	84,375,000	-	6,432,701	(43,932,701)	46,875,000
Sampath Bank Loan 03	104,550,000	-	7,929,021	(57,729,021)	54,750,000
HNB Bank Loan 03	138,880,000	-	9,935,922	(93,275,922)	55,540,000
DFCC Vardhana Bank 05	-	300,000,000	18,716,533	(67,901,321)	250,815,212
DFCC Vardhana Bank 06	-	300,000,000	17,819	(17,819)	300,000,000
Nations Trust Bank Loan 03	-	300,000,000	-	-	300,000,000
NDB Loan 1	-	250,000,000	-	-	250,000,000
	<u>455,307,742</u>	<u>1,500,000,000</u>	<u>57,595,853</u>	<u>(418,458,413)</u>	<u>1,594,445,182</u>

29 OTHER BORROWED FUNDS (CONTD...)

29.3 Loan details

Bank	Approved facility	Purpose	Term of the loan	Security	Underline security amount for outstanding balance Rs.
HNB - Securitization loan 22	Rs.600 Mn	Working capital requirements	36 monthly instalments	Hire purchase and finance lease agreements	389.3 Mn
NSB Fund Management- Securitization loan 24	Rs.1000 Mn	Working capital requirements	18 monthly instalments	Gold loan receivable agreements	169 Mn
HNB - Securitization loan 25	Rs.600 Mn	Working capital requirements	18 monthly instalments	Gold loan receivable agreements	270.8 Mn
Peoples - Securitization loan 26	Rs.347.6 Mn	Working capital requirements	18 monthly instalments	Gold loan receivable agreements	91.8 Mn
Peoples - Securitization loan 28	Rs.500 Mn	Working capital requirements	18 monthly instalments	Gold loan receivable agreements	230.7 Mn
HNB - Securitization loan 29	Rs.300 Mn	Working capital requirements	18 monthly instalments	Gold loan receivable agreements	188 Mn
Peoples - Securitization loan 30	Rs.500 Mn	Working capital requirements	18 monthly instalments	Gold loan receivable agreements	339.9 Mn
HNB - Securitization loan 31	Rs.171.6 Mn	Working capital requirements	18 monthly instalments	Gold loan receivable agreements	157.6 Mn
HNB - Securitization loan 32	Rs.191 Mn	Working capital requirements	22 monthly instalments	Mortgage Bond lease & hire purchase receivable of company	595.3 Mn
HNB - Securitization loan 33	Rs.655 Mn	Working capital requirements	23 monthly instalments	Mortgage Bond of Gold loan receivable	171.5 Mn
HNB - Securitization loan 34	Rs.1000 Mn	Working capital requirements	36 monthly instalments	Mortgage bond gold loan receivable	642.57 Mn
HNB - Securitization loan 35	Rs.500 Mn	Working capital requirements	24 monthly instalments	Mortgage Bond of Gold loan receivable	437.97 Mn
HNB - Securitization loan 36	Rs.337 Mn	Working capital requirements	24 monthly instalments	Mortgage bond Lease & Group personal loan receivable 500MN	812 Mn
HNB - Securitization loan 37	Rs.500 Mn	Working capital requirements	26 monthly instalments	Mortgage bond Lease & Group personal loan receivable	572 Mn
HNB - Securitization loan 38	Rs.600 Mn	Working capital requirements	36 monthly instalments	Mortgage bond Gold Loan loan receivable 600MN	780 Mn
HNB - Securitization loan 39	Rs.1000 Mn	Working capital requirements	18 monthly instalments	Mortgage bond Gold Loan loan receivable Rs.1000 MN	1,300 Mn
HNB - Securitization loan 40	Rs.135 Mn	Working capital requirements	24 monthly instalments	Mortgage bond Gold Loan loan receivable	175.5 Mn



29 OTHER BORROWED FUNDS (CONTD...)

Bank	Approved facility	Purpose	Term of the loan	Security	Underline security amount for outstanding balance Rs.
DFCC Vardhana Bank 02	Rs.200 Mn	Working capital requirements	48 monthly instalments	Promissory note	200 Mn
DFCC Vardhana Bank 03	Rs.250 Mn	Working capital requirements	48 monthly instalments	Promissory note	250 Mn
Sampath Bank PLC 02	Rs.350 Mn	Working capital requirements	36 monthly instalments	Mortgage Bond lease & hire purchase receivable of company	350 Mn
Hatton National Bank PLC 04	Rs.350 Mn	Working capital requirements	36 monthly instalments	Mortgage Bond 350 Mn over Gold Loan portfolio to the value of 525 MN	525 Mn
DFCC Vardhana Bank 03	Rs.250 Mn	Working capital requirements	48 monthly instalments	Promissory note	250 Mn
DFCC Vardhana Bank 04	Rs.150 Mn	Working capital requirements	48 monthly instalments	Promissory note	150 Mn
Sampath Bank Loan 03	Rs.200 Mn	Working capital requirements	48 monthly instalments	Loan agreement for Rs.200 Mn	200 Mn
Nations Trust Bank Loan 02	Rs.200 Mn	Working capital requirements	36 monthly instalments	Mortgage bond over loan recoverable consisting of business loan, corporate loan and mortgage loans	200 Mn
HNB Bank Loan 03	Rs.250 Mn	Working capital requirements	36 monthly instalments	Mortgage bond over loan recoverable consisting of business loan, corporate loan, mortgage & Gold loans	250 Mn
DFCC Bank Loan 05	Rs.300 Mn	Working capital requirements	48 monthly instalments	Promissory Note for Rs. 300 MN	300 Mn
DFCC Bank Loan 06	Rs.300 Mn	Working capital requirements	36 monthly instalments	Primary mortgage for 300 MN over gold loan receivable portfolio with collateral margin of 1.3 times	390 Mn
Nations Trust Bank Loan 03	Rs.300 Mn	Working capital requirements	36 monthly instalments	Primary mortgage for 300 MN over gold loan receivable portfolio with collateral margin of 1.5 times	450 Mn
NDB Loan 1	Rs.250 Mn	Working capital requirements	48 monthly instalments	Primary mortgage for 250 MN over gold loan receivable portfolio	375 Mn



30 RIGHT OF USE ASSETS - LEASED LIABILITY

Accounting Policy

At the commencement date of the lease, the Company recognises lease liabilities, measured at present value of lease payments to be made over the lease term. The present value of lease commitments has been calculated using the weighted average incremental borrowing rate.

	31.03.2022 Rs.	31.03.2021 Rs.
Balance at the beginning of the year	213,877,898	126,200,873
Additions/renewal of operating lease during the year	42,020,478	121,618,637
Accretion of interest	25,478,575	20,009,921
Payments made during the year	(63,288,541)	(39,408,751)
Expiration of operating lease agreements during the year	(7,821,939)	-
Gain on expiration of operating lease agreement during the year	(1,719,551)	-
Transferred from other advances	(768,477)	(14,542,782)
Balance at the end of the year	207,778,443	213,877,898
Weighted average incremental borrowing rate used	10%	15%

30.1 Sensitivity of Right-of-Use Assets / Lease Liability to Key Assumption

Sensitivity to incremental borrowing rates

Increase/(decrease) in incremental borrowing rate as at 31st March 2022 by 1%, would have (decreased)/increased the lease liability by approximately Rs. 2.9 Mn(Rs. 5.9Mn as at 31 st March 2021) with a similar (decrease/increase) in Right-of-use assets. Had the Company increased/(decreased) the incremental borrowing rate by 1%, the Company's profit before tax for the year would have (decreased)/increased by approximately Rs. 0.28 Mn (Rs. 0.18 Mn 31st March 2021).

31 DUE TO CUSTOMERS

Accounting Policy

Due to customers include fixed deposits and savings deposits. Subsequent to initial recognition, these are measured at their amortised cost using the Effective Interest Rate (EIR) method. EIR is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the Statement of Income. Gains and losses are recognised in the Statement of Income when the liabilities are de-recognised.

Deposits of Rs. 156,851,659/- (2021 Rs. 198,121,638/-) held as collateral for Loans against deposits were included in Due to customers.

In compliance with the Finance Companies (Insurance of Deposit Liabilities) Direction No. 02 of 2021, all the eligible deposit liabilities have been insured with the Sri Lanka Deposit Insurance and Liquidity Support Scheme, as a safety net measure that will safeguard the customer rights and confidence. The Company has paid Rs.12,226,988/- as the premium for the above insurance scheme during the year. (2021 - Rs.8,452,333/-).

	31.03.2022 Rs.	31.03.2021 Rs.
Fixed deposits	8,695,180,271	7,011,525,892
	8,695,180,271	7,011,525,892

31.1 Remaining Maturity-Fixed Deposits

As at	Within one year Rs.	Within 1-5 year Rs.	Total Rs.
31.03.2021	6,278,887,137	732,638,755	7,011,525,892
31.03.2022	8,194,333,141	500,847,131	8,695,180,271



32 DEBENTURE

Accounting Policy

Debentures issued represent the funds borrowed by the Company for long-term and short-term liquidity fund requirements. Subsequent to initial recognition, these are measured at their amortised cost using the EIR method. EIR is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the Statement of Income. Gains and losses are recognised in the Statement of Profit or Loss when the liabilities are derecognised.

The debt capital of the Company comprises two billion (Rs 2,000,000,000) rated unsecured subordinated redeemable debentures issued in October 2020 and August 2021. These debentures are listed in the Colombo stock exchange. ICRA Lanka Ltd upgraded the credit rating of the above debenture to (SL) A- with stable outlook from (SL) BBB + with stable outlook during the financial year 2020/2021 and reaffirmed during this financial year as (SL) A - (Stable).

	31.03.2022		31.03.2021	
	Number	Rs.	Number	Rs.
Type A Debenture	4,613,000	478,698,258	4,613,000	476,486,467
Type B Debenture	5,387,000	560,802,570	5,387,000	552,978,643
Type A2 Debenture	1,005,100	105,134,997	-	-
Type B2 Debenture	3,342,400	333,923,955	-	-
Type C Debenture	15,500	1,627,885	-	-
Type D Debenture	5,637,000	592,689,674	-	-
	<u>20,000,000</u>	<u>2,072,877,339</u>	<u>10,000,000</u>	<u>1,029,465,109</u>

32.1 Interest Rate of the debentures

Instrument Type	Interest Frequently (Fixed Rate)	Coupon (% p.a)	Interest yield as at last trade	Yield to Maturity Of last trade done	comparable Government security
Type A Debenture	Annually	10.28%	Not Traded	Not Traded	8.53%
Type B Debenture	Annually	10.76%	Not Traded	Not Traded	8.53%
Type A2 Debenture	Annually	8.76%	Not Traded	Not Traded	8.53%
Type B2 Debenture	Monthly	11.89%	Not Traded	Not Traded	8.53%
Type C Debenture	Annually	9.26%	Not Traded	Not Traded	8.53%
Type D Debenture	Annually	9.43%	Not Traded	Not Traded	8.53%

32.2 Market price and issue prices of debentures recorded during the year ended 31st March 2022 are as follows:

Instrument Type	Issued Price	Highest Price	Lowest Price	Last Traded Price	Last traded Date
Type A Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type B Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type A2 Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type B2 Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type C Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type D Debenture	100	Not Traded	Not Traded	Not Traded	N/A

32.3 Categories	Allotment date	Rate	Number	Transaction Cost	Value
Type A Debenture	5th October 2020	10.28%	4,613,000	8,398,103	478,698,258
Type B Debenture	5th October 2020	10.76%	5,387,000	9,207,164	560,802,570
Type A2 Debenture	20th August 2021	8.76%	1,005,100	810,367	105,134,997
Type B2 Debenture	20th August 2021	11.89%	3,342,400	2,695,918	333,923,955
Type C Debenture	20th August 2021	9.26%	15,500	9,339	1,627,885
Type D Debenture	20th August 2021	9.43%	5,637,000	4,458,606	592,689,674
			<u>20,000,000</u>	<u>25,579,497</u>	<u>2,072,877,339</u>

32.4 Movement of the Debenture	31.03.2022 Rs.	31.03.2022 Rs.
Balance at the beginning of the year	1,029,465,110	-
Add : Issued during the year	1,000,000,000	1,000,000,000
Interest expense on subordinated debt	160,540,006	29,465,110
Less : Interest paid on subordinated debt	(117,127,777)	-
Balance at the end of the year	<u>2,072,877,339</u>	<u>1,029,465,110</u>

33 RETIREMENT BENEFIT OBLIGATION

Accounting Policy

The Company measures the present value of the promised retirement benefits for gratuity, which is a defined benefit plan with the advice of an independent professional actuary using the 'Projected Unit Credit method' (PUC) as required by the Sri Lanka Accounting Standard- LKAS 19 on 'Employee Benefits'

Recognition of actuarial gains and losses

The Company recognizes the total actuarial gains and losses that arise in calculating the Company's obligation in respect of the plan in other comprehensive income during the period in which it occurs.

Funding arrangements

The gratuity liability is not externally funded.

Defined contribution plans - Employees' Provident Fund

The Company and employees contribute to the Employees' Provident Fund managed by the Central Bank of Sri Lanka at 12% and 8% respectively on the gross salary of each employee.

Defined contribution plans - Employees' Trust Fund

The Company contributes to the Employees' Trust Fund at 3% on the gross salary of each employee.

	31.03.2022 Rs.	31.03.2021 Rs.
Retirement benefit obligations - gratuity		
Balance at the beginning of the year	30,135,378	29,972,864
Amount charged for the year	4,887,251	2,784,314
Payments made during the year	(2,226,250)	(2,621,800)
Balance at the end of the year	32,796,379	30,135,378
Amount recognized in the statement of Income		
Current service cost for the year	4,219,106	2,997,286
Interest cost for the year	2,260,153	4,166,435
Past service cost	(427,708)	-
	6,051,551	7,163,721
Amount recognised in other comprehensive income		
Actuarial gain for the year	(1,164,300)	(4,379,407)
	(1,164,300)	(4,379,407)

- 33.1 Messrs. Actuarial and Management Consultants (Pvt) Ltd, Actuaries, carried out an actuarial valuation of the retirement benefit obligation for Asia Asset Finance PLC as at 31st March, 2022. The valuation method used by the Actuary to value the liability is the 'Projected Unit Credit Actuarial Cost Method' recommended by LKAS 19. Appropriate and compatible assumptions were used in determining the cost of retirement benefits. The principal assumptions used are as follows:

"Actuarial valuation for defined benefit obligation was carried out as at 31 March 2022 by Mr. M Poopalanathan, a Fellow of the Society of Actuaries (USA). The valuation method used by the actuaries to value the obligation is the "Projected Unit Credit Method", a method recommended by the Sri Lanka Accounting Standard - LKAS 19 on "Employee Benefits"

The Defined Benefit Plan entitles a retired employee to receive a payment equal to half of the last drawn monthly salary multiplied by the number of completed years of service. However, as per the Statute, the Company is liable to pay gratuity only upon the completion of continuous 5 years of service.

- 33.2 Actuarial assumptions used in calculating the gratuity liability are given below:

	31.03.2022 Rs.	31.03.2021 Rs.
Discount rate	13.1%	10%
Salary increment rate	6%	10%
Staff turnover	28%	33%
Retirement age	60 years	55 years
Mortality	67/70 Mortality Table (Institute of Actuaries, London)	



33 RETIREMENT BENEFIT OBLIGATION (CONTD...)

33.3 Sensitivity analysis

In order to illustrate the significance of the salary escalation rates and discount rates assumed in this valuation, a sensitivity analysis of all employees in Asia Asset Finance PLC is as follows;

	31.03.2022 Rs.	31.03.2021 Rs.
Discount rate		
Effect on retirement benefit obligation due to 1% increase	(820,008)	(786,573)
Effect on retirement benefit obligation due to 1% decrease	806,257	832,603
 Effect on retirement benefit obligation due to 5% increase	 (3,568,150)	
Effect on retirement benefit obligation due to 5% decrease	4,726,988	
 Salary increment rate		
Effect on retirement benefit obligation due to 1% increase	784,345	773,128
Effect on retirement benefit obligation due to 1% decrease	(810,932)	(743,625)

33.4 Analysis of retirement benefit obligation by maturity profile

The following note analyses the defined benefit obligation by the expected future working life time of each individual employee. The expected future working life time considers the probability of an employee's exit due to withdrawal, death or disability prior to the retirement date.

	31.03.2022 Rs.	31.03.2021 Rs.
Within next 12 Months	8,199,095	8,975,313
Between 1-5 Years	13,118,552	12,054,151
Beyond 5 years	11,478,733	9,105,914



34 STATED CAPITAL

Accounting Policy
Capital

The Company maintains an actively managed capital base to cover the risks inherent to the business and is meeting the capital adequacy requirements of the Central Bank of Sri Lanka. The adequacy of the Company's capital is monitored using, among other measures, the rules and ratios established by the Central Bank of Sri Lanka.

	31.03.2022		31.03.2021	
	Number	Rs.	Number	Rs.
Fully paid ordinary shares	124,195,533	1,791,478,691	124,195,533	1,791,478,691

34.1 Rights of shareholders

The holders of ordinary shares confer their rights to receive dividends as declared from time to time and are entitled to one vote per share at the meeting.

All shares rank equally with regard to the company's residual assets.

34.2 Fully paid Preference Shares

	31.03.2022		31.03.2021	
	Number	Rs.	Number	Rs.
Balance at the beginning of the year	-	-	-	-
Shares issued during the year	41,398,511	413,985,110	-	-
Balance at the end of the year	41,398,511	413,985,110	-	-

These convertible, irredeemable preference shares to be deemed converted to ordinary shares, immediately upon the completion of five years from the date of issue and to be listed subsequently. As such, these shares considered as a part of equity.

35 STATUTORY RESERVE FUND AND OTHER RESERVES

	31.03.2022	31.03.2021
	Rs.	Rs.
Statutory reserve fund	82,270,012	76,026,159
General reserve	3,000,000	3,000,000
	<u>85,270,012</u>	<u>79,026,159</u>

35.1 Statutory reserve fund

Statutory reserve fund is a capital reserve which contains profits transferred as required by Section 3 (b) (I) of the Finance Companies (Capital Funds) Direction No. 1 of 2003. The Company transferred 5% of its annual net profit after tax to this reserve in compliance with this direction.

35.2 General reserve

General Reserve represents the amounts set aside by the directors for general application.

36 EARNINGS PER SHARE

Accounting Policy

Basic EPS is calculated by dividing the profit for the year attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is calculated by dividing the profit attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary shares that would be issued on conversion of dilutive potential ordinary shares into ordinary shares.

36.1 Basic earnings per share

The following reflects the income and share data used in the basic earnings per share computation.

Amounts used as the numerator:

Profit attributable to ordinary shareholders for basic earnings per share	118,561,733	45,196,117
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Number of ordinary shares used as denominator for basic earnings per share

	31.03.2022	31.03.2021
	Number	Number
Weighted average number of ordinary shares in issue	124,195,533	124,195,533
Basic earnings per share (Rs.)	0.95	0.36

36 EARNINGS PER SHARE (CONTD...)

36.2 Diluted earnings per share

The following reflects the income and share data used in the diluted earnings per share computation.

	Note	31.03.2022 Rs.	31.03.2021 Rs.
Amounts used as the numerator:			
Profit attributable to ordinary shareholders for basic earnings per share		118,561,733	45,196,117
Number of ordinary shares used as denominator for basic earnings per share			
		Number	Number
Adjusted weighted average number of ordinary shares in issue	36.2.1	165,594,044	124,195,533
Diluted earnings per share (Rs.)		0.72	0.36
36.2.1 Adjusted weighted average number of ordinary shares in issue			
Weighted average number of ordinary shares in issue before dilution		124,195,533	124,195,533
Number of ordinary shares in convertible preference shares		41,398,511	-
Adjusted weighted average number of ordinary shares in issue		165,594,044	124,195,533

37 CONTINGENT LIABILITIES AND COMMITMENTS

Accounting Policy

Contingent Liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be readily measured as defined in the Sri Lanka Accounting Standard, LKAS 37 - 'Provisions, Contingent Liabilities and Contingent Assets'. In the normal course of business, the Company makes various commitments and incurs contingent liabilities. No material losses are anticipated as a result of these transactions.

	Note	31.03.2022 Rs.	31.03.2021 Rs.
Commitments			
Promissory note to DFCC Bank PLC loans	37.1	700,000,000	300,000,000
Undrawn commitments	37.2	5,043,900	13,339,617
Bank Guarantee	37.3	15,849,066	6,096,051
Capital commitments	37.4	15,463,226	23,704,301
		736,356,192	343,139,968

37.1 Promissory notes

The related loan balances on issued promissory notes as at the reporting date are as follows:

	Promissory note value Rs	Loan outstanding as at 31.03.2022 Rs.
Promissory notes to DFCC Bank PLC		
DFCC Vardhana Bank 03	250,000,000	15,624,970
DFCC Vardhana Bank 04	150,000,000	46,875,000
DFCC Bank Loan 05	300,000,000	250,815,212
	700,000,000	313,315,181



37.2 Undrawn commitments

Undrawn commitments consist of facilities granted to customers where the Company reserves the right to unconditionally cancel or recall the facility at its discretion.

37.3 Bank Guarantee

Purpose	Issue Bank	Bank Guarantee No	Period	31.03.2022 Rs.	31.03.2021 Rs.
Tax appeal	Sampath Bank	398720210024	9th Dec 2021 - 9th Dec 2022	1,051,182	-
Tax appeal	Sampath Bank	398720210003	20th Jan 2022 - 19th Jan 2023	365,948	365,948
Tax appeal	Sampath Bank	398720210005	24th Feb 2022 - 23rd Feb 2023	2,254,241	2,254,240
Tax appeal	Sampath Bank	398720210008	15th June 2021 - 15th June 2022	7,766,725	-
Tax appeal	Sampath Bank	398720210023	15th Nov 2021 to 15th Nov 2022	2,716,302	-
Tax appeal	Sampath Bank	398720220003	7th Jan 2022 - 7th Jan 2023	767,987	-
Foreign Currency Buying and Selling	Sampath Bank	302921329126	1st Jan 2021 to 31st Dec 2022	-	2,500,000
Tax appeal	Sampath Bank	392720200009	20th Nov 2022 to 19th Nov 2023	926,681	975,862
				<u>15,849,066</u>	<u>6,096,050</u>

37.4 Capital Commitments

Capital commitments amounting to Rs. 15,463,226 includes the cost committed to implement a customer digital onboarding mechanism using mobile based interface to provide a cutting edge digital experience to the customers. Further, the said mobile interface will be fully integrated with the Core banking solution to provide a real-time banking experience and transaction details. AAF expects to achieve a fully transparent end-end transaction execution through implementation by enhancing compliance, process automation, process throughput and digital convenience to AAF customers. During this implementation, AAF expects to upgrade hardware infrastructure and expects performance improvements in the CBS functionalities to meet AAF expanding branch network.

38 Litigation against the Company

Litigation is a common occurrence in the finance industry due to the nature of the business undertaken. The Company has formal controls and policies for managing legal claims. In respect of pending legal claims where the Company had already made provisions for possible losses in the Financial Statements or has a realisable security to cover the damages are not included below as the Company does not expect cash outflows from such claims. However, further adjustments are made to the Financial Statements if necessary on the adverse effects of legal claims based on the professional advice obtained on the certainty of the outcome and also based on a reasonable estimate. Given below are the unresolved legal claims against the Company as at 31st March 2022 for which, adjustments to the Financial Statements have not been made due to the uncertainty of its outcome. The Company's legal counsel is of the opinion that litigation which is currently pending, will not have a material impact on the reported financial results or future operations of the Company.

Plaintiff	Nature of the case	Court and case No.	Value of action Rs.	Present status
Customer	Recovery of money	862/M Pugoda District court	50,000,000	Further trial 15th June 2022
Customer	Recovery of money	CHC/16/2021/MR, Commercial High court	70,000,000	For Answer - 27th May 2022
Customer	Recovery of money	DMR/00494/2021 Colombo District court	10,906,845	Calling 10th June 2022
Customer	Recovery of money	DMR/2445/2021 Colombo District court	7,500,000	Calling 15th July 2022
Customer	Recovery of money	DMR/3258/2021 Colombo District court	2,500,000	Calling 16th September 2022
Customer	Recovery of money	DMR/2444/2021 Colombo District court	3,000,000	Calling 15th July 2022

39 Contingent Liabilities

Except for the contingent liabilities disclosed above, the Company does not have any other significant contingent liabilities as at the reporting date.

40 ASSETS PLEDGED

The assets pledged as securities for liabilities have been disclosed under note 29.3.



41 MATURITY ANALYSIS

The table below summarises the maturity profile of the undiscounted cash flows of the Company's Financial assets and liabilities as at 31 March 2022. Repayments which are subject to notice are treated as if notice were to be given immediately. However, the Company expects that many customers will not request repayment on the earliest date the Company could be required to pay and the table does not reflect expected cash flows indicated by the Company's deposit retention history. An analysis of the total assets employed and the total liabilities at the year end, based on the remaining balance at the reporting date to the respective contractual maturity dates is given below:

	Less than 3 months Rs.	3-12 months Rs.	1-3 years Rs.	Over 3 years Rs.	Total Rs.
Cash and cash equivalents	1,397,632,551	-	-	-	1,397,632,551
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	989,433,452	-	-	-	989,433,452
Financial assets at amortized cost - Loans and advances	11,615,999,569	1,016,259,824	1,276,251,016	820,671,710	14,729,182,119
Financial assets at amortized cost - Lease rentals receivable and hire purchase	102,648,862	281,980,593	644,144,522	55,343,553	1,084,117,530
Other assets	5,875,266	102,311,986	14,291,782	673,067	123,152,101
Income tax receivable	-	27,698,763	-	-	27,698,763
Deposits and prepayments	67,214,496	17,927,182	4,318,850	15,057,500	104,518,028
Financial assets - Fair value through other comprehensive income / available for sale	-	-	-	506,659	506,659
Right-of-use assets	12,679,868	37,102,952	97,381,006	49,332,969	196,496,795
Property, plant and equipment	1,058,250	2,346,853	32,426,668	148,546,039	184,377,810
Investment property	-	35,300,000	-	323,755,285	359,055,285
Deferred tax asset	15,000,000	45,000,000	41,422,647	-	101,422,647
Intangible assets	-	-	-	44,194,279	44,194,279
As at 31.03.2022	14,207,542,313	1,565,928,153	2,110,236,492	1,458,081,061	19,341,788,019
As at 31.03.2021	8,716,069,089	1,740,053,711	2,882,276,781	2,012,366,172	15,350,765,753
Liabilities					
Financial liabilities - Due to banks	38,990,640	-	-	-	38,990,640
Other liabilities	72,781,317	7,446,042	-	-	80,227,359
Financial liabilities - Other borrowed funds	813,741,735	2,083,856,910	2,498,333,837	62,494,000	5,458,426,482
Leased liability	8,438,173	27,625,039	98,900,735	72,814,496	207,778,443
Debenture	(50,322,047)	36,605,644	1,480,044,598	606,549,144	2,072,877,339
Due to customers	4,765,373,611	3,428,959,530	421,563,719	79,283,411	8,695,180,271
Retirement benefit obligation	-	-	-	32,796,379	32,796,379
As at 31.03.2022	5,649,003,429	5,584,493,164	4,498,842,889	853,937,431	16,586,276,913
As at 31.03.2021	2,786,340,427	7,320,226,397	2,736,852,538	284,931,329	13,128,350,694
Net amount					
As at 31.03.2022	8,558,538,884	(4,018,565,011)	(2,388,606,397)	604,143,631	2,755,511,106
As at 31.03.2021	5,929,392,936	(5,564,927,481)	145,424,242	1,727,434,845	2,222,079,395



42 CURRENT/NON-CURRENT ANALYSIS

	31.03.2022			31.03.2021		
	Within 12 months Rs.	After 12 months Rs.	Total Rs.	Within 12 months Rs.	After 12 months Rs.	Total Rs.
Cash and cash equivalents	1,397,632,551	-	1,397,632,551	1,006,233,476	-	1,006,233,476
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	989,433,452	-	989,433,452	654,692,844	-	654,692,844
Financial assets at amortized cost - Loans and advances	12,632,259,393	2,096,922,726	14,729,182,119	7,567,804,989	2,630,457,874	10,198,262,863
Financial assets at amortized cost - Lease rentals receivable and hire purchase	384,629,455	699,488,075	1,084,117,530	942,475,641	1,270,059,253	2,212,534,894
Other assets	108,187,252	14,964,849	123,152,101	121,313,548	-	121,313,548
Income tax receivable	27,698,763	-	27,698,763	27,698,763	-	27,698,763
Advances, deposits and prepayments	85,141,678	19,376,350	104,518,028	135,568,261	16,839,169	152,407,430
Financial assets - Fair value through other comprehensive income / available for sale	-	506,659	506,659	-	506,659	506,659
Right-of-use assets	49,782,820	146,713,976	196,496,795	-	217,810,352	217,810,352
Property, plant and equipment	3,405,103	180,972,707	184,377,810	-	156,436,176	156,436,176
Investment property	35,300,000	323,755,285	359,055,285	-	376,158,647	376,158,647
Deferred tax asset	60,000,000	41,422,647	101,422,647	-	185,422,647	185,422,647
Intangible assets	-	44,194,279	44,194,279	-	40,951,790	40,951,790
Total assets	15,773,470,466	3,568,317,553	19,341,788,019	10,455,787,522	4,894,642,567	15,350,430,089
Liabilities						
Financial liabilities - Due to banks	38,990,640	-	38,990,640	24,279,289	-	24,279,289
Other liabilities	72,781,317	7,446,042	80,227,359	37,812,245	2,496,157	40,308,402
Financial liabilities - Other borrowed funds	2,897,598,645	2,560,827,837	5,458,426,482	3,657,207,038	1,121,551,688	4,778,758,726
Leased liability	36,063,211	171,715,231	207,778,443	-	213,877,898	213,877,898
Debenture	(13,716,403)	2,086,593,742	2,072,877,339	93,965,320	935,499,789	1,029,465,109
Due to customers	8,194,333,140	500,847,131	8,695,180,271	6,290,806,777	720,719,116	7,011,525,892
Retirement benefit obligation	-	32,796,379	32,796,379	-	30,135,378	30,135,378
Total liabilities	11,226,050,551	5,360,226,362	16,586,276,913	10,104,070,668	3,024,280,026	13,128,350,694
Net balance	4,547,419,915	(1,791,908,808)	2,755,511,106	351,716,853	1,870,362,541	2,222,079,394



43 ASSETS AND LIABILITIES MEASURED AT FAIR VALUE AND FAIR VALUE HIERARCHY

43.1 Determination of fair value and fair value hierarchy

The following is a description of how fair values are determined for financial and non-financial assets and liabilities that are recorded at fair value using valuation techniques. These incorporate the Company's estimate of assumptions that a market participant would make when valuing the instruments. As at 31st March, 2022 the Company held the following assets carried at fair value on the statement of financial position. The Company uses the following hierarchy for determining and disclosing the fair value of those assets by valuation technique:

43.2 Financial assets - Fair Value through other comprehensive income

Financial assets - Fair value through other comprehensive income valued using the valuation techniques or pricing models, primarily consists of unquoted investment securities. These unquoted investment securities are valued using observable market data. Inputs to the fair value measurements are reviewed to ensure that they are appropriately categorised within the fair value hierarchy. Transfers into and transfers out of the hierarchy levels are recognised as if they had taken place at the end of the reporting period.

43.3 Financial assets -Fair value through profit or loss

Financial assets -Fair value through profit or loss valued using valuation techniques primarily consist of quoted investments. These quoted assets are valued using quoted market price in an active market of each securities

43.4 Financial Assets and Liabilities carried at Amortized Cost

The fair value of mixed rate financial assets and liabilities carried at amortised cost are estimated based on the Discounted Cash Flow approach. This approach employs the current market interest rates of similar financial instruments as a significant unobservable input in measuring the fair value and hence, it is categorized under level 3 in the fair value hierarchy.

Level 1: Quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: Other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly

Level 3: Techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

43.4.1 Assets measured at fair value

		31.03.2022			
	Rs.	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	
Financial assets - Fair value through other comprehensive income	506,659	-	-	506,659	
Total assets at fair value	506,659	-	-	506,659	
		31.03.2021			
	Rs.	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	
Financial assets - Fair value through other comprehensive income	506,659	-	-	506,659	
Total assets at fair value	506,659	-	-	506,659	



44 FINANCIAL REPORTING BY SEGMENT

As per the provisions of Sri Lanka Financial Reporting Standard, SLFRS- 8, the operating segment of the Company has been identified based on the product and services offered by the Company of which level of risk and rewards is significantly different from one another. Top management of the Company considers the operating results and condition of its business segments in their decision making process and performance evaluation. Types of products and services from which each operating segment derives its revenues are described as follows;

An operating segment is a component of the Company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the company's other components. All operating segments' operating results are reviewed regularly by the Senior Management to make decisions about resources to be allocated to the segment and to assess its performance, and for which discrete financial information is available.

Segment results that are reported to the Senior Management Personnel and the Board of Directors include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

	Finance lease		Hire purchase		Gold Loan		Loans and advances		Investment		Other		Total	
	31.03.2022	31.03.2021	31.03.2022	31.03.2021	31.03.2022	31.03.2021	31.03.2022	31.03.2021	31.03.2022	31.03.2021	31.03.2022	31.03.2021	31.03.2022	31.03.2021
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest income	352,197,721	745,851,026	1,851,257	5,871,300	1,528,952,298	937,121,057	542,564,622	946,565,933	150,514,713	89,638,312	-	-	2,576,080,611	2,725,047,628
Other income	53,625,184	24,236,945	-	-	464,559,038	175,168,918	73,382,807	14,059,816	240,000	320,000	14,825,243	15,981,295	606,632,272	229,766,974
Total revenue	405,822,905	770,087,971	1,851,257	5,871,300	1,993,511,336	1,112,289,975	615,947,429	960,625,748	150,754,713	89,958,312	14,825,243	15,981,295	3,182,712,882	2,954,814,602
Segmental result	30,446,770	34,362,198	82,605	261,984	149,562,729	49,631,639	46,211,314	42,864,209	11,310,338	4,014,042	1,112,260	713,103	238,782,301	131,847,175
Value added tax on financial services													(36,500,000)	(45,100,000)
Profits from operations													202,282,301	86,747,176
Income tax charge for the year													(83,720,568)	(41,551,058)
Net profit for the year													118,561,733	45,196,118
Segment assets	1,084,117,530	2,182,908,398	-	8,259,920	11,639,701,785	6,561,591,532	3,089,480,334	3,658,037,907	2,387,066,003	1,660,926,320	-	-	18,200,365,652	14,071,724,077
Unallocated assets	-	-	-	-	-	-	-	-	-	-	1,141,422,367	1,278,706,012	1,141,422,367	1,278,706,012
Total assets	1,332,011,846	2,182,908,398	542,413	8,259,920	11,686,848,221	3,089,480,334	3,089,480,334	3,636,671,331	2,265,065,684	1,660,926,320	761,274,221	2,284,939,488	19,341,788,019	15,350,430,089
Segment liabilities	968,864,397	1,992,459,392	-	7,539,279	10,402,278,663	5,989,121,984	2,761,035,974	3,338,890,442	2,133,295,698	1,516,017,919	-	-	16,265,474,732	12,844,029,016
Unallocated liabilities	-	-	-	-	-	-	-	-	-	-	320,802,181	284,321,678	320,802,181	284,321,678
Total liabilities	968,864,397	1,992,459,392	-	7,539,279	10,402,278,663	5,989,121,984	2,761,035,974	3,338,890,442	2,133,295,698	1,516,017,919	320,802,181	284,321,678	16,586,276,913	13,128,350,694

In determining segment results, expenses have been allocated on proportionate basis on interest income and the segment liabilities have been proportionately allocated based on the segment assets.



45 RELATED PARTY DISCLOSURES

As per the Sri Lanka Accounting Standard - LKAS -24) - "Related Party Disclosures", the KMPs include those who are having the authority and responsibility for planning, directing and controlling the activities of the Company. Accordingly, the Board of Directors of the Company, Immediate parent Company and members of the Corporate Management of the Company have been classified as KMPs of the Company. The Company carries out transactions with KMPs & their close family members in the ordinary course of its business on an arms length basis at commercial rates. Close family members of KMPs are those family members who may be expected to influence, or be influenced by, those KMPs in their dealing with the entity. During the period under review there were no non-recurrent related party transactions which exceeded 10% of the equity or 5% of the total assets, whichever is lower, in the Company. During the period under review there were no recurrent related party transactions which exceeded 10% of the gross revenue/income.

The Company carries out transactions in the ordinary course of business on an arm's length basis at commercial rates with related parties. Details of significant related party disclosures are as follows:

45.1 Parent and ultimate controlling party

The ultimate parent of the Company as at 31st March, 2022 is Muthoot Finance Limited.

45.2 Transactions with related entities

45.2.1 Muthoot Finance Limited

Relationship - Ultimate parent

Transactions during the year

Expenses incurred for Muthoot Finance Limited

31.03.2022 Rs.	31.03.2021 Rs.
3,062,967	3,511,514

45.3 Transactions with key management personnel of the Company

The key managerial personnel of the Company are the members of its board of directors and the parent Company. The following transactions were entered into between the Company and its key management personnel and their close family members.

	31.03.2022 Rs.	31.03.2021 Rs.
45.3.1 Key management personnel compensation		
Short-term employment benefits paid-Directors	17,063,000	14,732,000
45.3.2 Other transactions with key management personnel		
(a) Items in the Statement of Financial Position		
Assets - Loan and receivables from KMP	10,973,256	30,238,851
Liabilities - Due to KMP	71,189,820	19,578,371
(b) Items in the Statement of Income		
Interest income	1,461,627	3,379,883
Interest expense	5,862,927	1,493,793
Accommodation outstanding as a percentage of the Company's Capital Fund (%)		
Loan and receivables	0.51%	1.36%
45.3.3 Share transactions with key management personnel		
Number of ordinary shares held at the year end	-	-
45.3.4 Senior management personnel compensation		
Short-term employment benefits paid to Senior Management	75,958,006	70,432,080

46 RISK MANAGEMENT

As a financial institution, the Company is exposed to various types of risks including credit, market, liquidity and operational risks which are inherent to the Company's activities. Managing these risks is critical for the sustainability of the Company and plays a pivotal role in all activities of the Company. The Company has developed a culture within the organization, which shapes and influences and the risk decisions taken by the management and the employees. The adequacy and the effectiveness of the risk management decisions taken by the Company's management will be reviewed regularly through its committees and reported to the "Integrated risk management committee" for reference and guidance. The Company believes that a successful risk management will enable it to be resilient to any unfavourable event caused by internal or external factors.

46.1 Risk management committees

46.1.1 Assets and liability committee (ALCO)

ALCO is chaired by the chief executive officer and its representatives are the Chief Operating Officer, General Manager, the Deputy General Manager-Finance, the Assistant Manager -Treasury and the Senior Manager - Finance. The committee meeting is held once a month to monitor and manage the assets and liabilities of the Company and also overall liquidity position to keep the Company's liquidity at healthy levels whilst satisfying regulatory requirements.

46 RISK MANAGEMENT (Contd..)

46.2 Capital Management

The Company's capital management is performed primarily considering regulatory capital. The Company's lead regulator, the Central Bank of Sri Lanka (CBSL) sets and monitors capital requirements for the Company. The Company is required to comply with the provisions of the Finance Companies (Capital Funds) Direction No.01 of 2003, Finance Companies (Capital Adequacy Requirements) Direction No.03 of 2018 and Finance Companies (Minimum Core Capital) Direction No.01 of 2011 in respect of regulatory capital. The Company's regulatory capital consists of tier 1 capital, which includes ordinary share capital, retained earnings and statutory reserves. Other negative reserves are included under prudence basis. Tier II capital includes unsecured subordinated debentures, which is included in the capital base consequent to obtaining the approval of CBSL. The Company's policy is to maintain a strong capital base so as to ensure investor, creditor and market confidence and to sustain future development of the business. The impact of the level of capital on shareholders' return is also recognised and the Company recognises the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

As per Finance Business Act Directions No 3 of 2018, regulatory capital consists of Tier 1 capital, which the comprises stated capital, statutory reserved fund, retained earnings including current year profit, general & other reserves less goodwill, other intangible assets, other comprehensive income losses, deferred tax assets, shortfall of the cumulative impairment to total provisions and interest in suspense and 50% of investment in banking and financial companies.

In compliance with the Finance Companies Risk Weighted Capital Adequacy Ratio Direction No: 2 of 2006 shall maintain

- (a) Tier 1 Capital 6%
- (b) Tier II Capital 10.5%

However, due to COVID-19, the Central Bank of Sri Lanka issued amendments to Direction on Risk Weighted Core Capital requirements and as per the Direction, requirements have been changed as follows until 30 June 2022.

- (a) Tier 1 Capital 7%
- (b) Tier II Capital 11%

Even though the Finance Business Act Direction No. 2 of 2017 required every Licensed Finance Company to maintain minimum core capital at not less than Rs. 2.5 billion by 1 January 2021, by a letter dated 31 March 2020 issued by the Central Bank of Sri Lanka captioned "Regulatory measures taken by the Central Bank of Sri Lanka to provide flexibility to Licensed Finance Companies to support business and individual affected by the outbreak of Corona Virus Disease (COVID-19)", concessions were granted to defer the enhancement of minimum core capital requirement of Rs. 2.5 billion until 1 January 2022.

	31.03.2022	31.03.2021
	%	%
Tier 1 Capital Ratio (Minimum requirement of 7.%)	27.77	16.75
Total Capital (Minimum requirement 11%)	27.77	16.75

46.3 Market risk

Market risk is identified by the Company as the possibility of loss to the Company caused by changes in the market variables. Market risk mainly includes interest rate risk, liquidity risk, foreign exchange risk and country risk. Market risk is potential losses arising from changes in earnings, market or future cash flows of a portfolio of financial instruments resultant from adverse movements in market variables such as interest rates, share prices, foreign exchange rates and bond and commodity prices. Most of the Company's operations are exposed to at least one or more elements of market risk. The market risk stems primarily from the interest rate risk of its trading and non-trading books and from exposure to gold prices due to its pawning portfolio.

46.3.1 Re-Investment risk

These are uncertainties with regard to interest rate at which the future cash flows could be re-invested. On an increasing trend, this would be beneficial for Asia Asset Finance PLC.



46 RISK MANAGEMENT (Contd..)

46.3 Market risk (contd...)

46.3.2 Net interest position

When the market rates are on a downward trend and the Company's earning assets are higher than its liabilities, the risk of net interest position falling is high.

Under SLFRS 9: "Financial Instruments: Recognition & Measurement", the AAF assesses the impairment of loans and advances individually or collectively based on the principles of "expected credit loss" (Refer Note 18 for details) model which is expected to capture future trends in the economy. However, the regulatory provisions are made on loans and advances under the Direction No. 03 of 2008 on "Classification of loans and advances, Income Recognition and Provisioning" (and subsequent amendments thereof) issued by the CBSL are on "time/delinquency base". Further, under SLFRS 9, other debt financial assets not held at FVTPL, together with loan commitments and other off balance sheet exposures such as financial guarantees and letter of credits, are subject to impairment provision, whereas, no such regulatory provision is required for those financial assets as per the CBSL Direction. As a result, SLFRS 9 recognises higher impairment provisions compared to CBSL guidelines. Financial investments and financial liabilities (other than FVTPL) are carried at "cost" for regulatory reporting purposes while they are classified as "Financial assets measured at fair value through other comprehensive income" carried at fair value or Financial assets/liabilities at amortised cost under SLFRS 9. The "Fair value" is defined as the best estimate of the price that would be received to sell an asset or be paid to transfer a liability in an orderly transaction between market participants at the measurement date. A variety of valuation techniques combined with the range of plausible market parameters at a given point in time may still generate unexpected uncertainty beyond fair value. An "amortised cost" of a financial asset or financial liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the EIR method of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment. Hence, the amortised cost of financial investments and financial liabilities under SLFRS 9 is different to the carrying value for regulatory reporting which is the "cost"

46.3.3 Liquidity risk

Liquidity is the ability to efficiently accommodate deposit as also reduction in liabilities and to fund the loan growth and possible funding of the off-balance sheet claims. Liquidity risk arises through maturity mismatch of loans and deposits.

The Company considered that cash flow scrutiny is paramount and has adopted a disciplined approach across the units including setting up of Company-wide spend control and cash management measures for preserving and increasing the liquidity, particularly on account of the impact of post COVID-19 with new normal .

46.3.3.1 Total Liquid Assets

	31.03.2022	31.03.2021
	Rs.	Rs.
Cash in hand	75,887,122	79,452,195
Balances in current accounts	34,682,797	44,347,401
Deposits in commercial banks	971,297,964	642,962,814
Treasury bills and Treasury Bonds	989,433,452	654,692,844
Other approved securities	304,334,268	227,054,877
	<u>2,375,635,603</u>	<u>1,648,510,131</u>
Available liquid asset	<u>2,095,851,859</u>	<u>1,434,071,000</u>
Required liquid asset	<u>901,298,277</u>	<u>430,125,020</u>
Advances to deposit ratios (Times)	0.24	0.29
Liquid assets to deposit (%)	12.08%	15.68%

46.3.4 Foreign exchange (FOREX) and country risk

FOREX is the risk that finance companies may suffer loss, as a result of adverse exchange rate movements. Country risk is the risk that arises due to cross border transactions. The uncertainty caused by the current economic crisis could lead to increased pressure on the local currency resulting in higher foreign exchange risk. However, since Asia Asset Finance PLC does not have any foreign borrowings or foreign transactions, the Company concludes that negative impact on economic crisis will not be substantial on the Company to conduct an in-depth analysis. However, there is a slight impact when budgeting for this cost. The above risks are triggered by the treasury operations.



46 RISK MANAGEMENT (Contd..)

46.3 Market risk (contd...)

46.3.5 Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a Financial instrument will fluctuate because of changes in market interest rates. The Company manages its interest rate risk by having a balanced portfolio of fixed and variable rate financial assets and financial liabilities. Techniques used to measure the interest rate risk include, Duration Gap Analysis, VaR and Earnings at Risk. Rate sensitive assets and liabilities are mapped into time buckets based on their maturity period, in order to ascertain the duration gap and overall exposure to interest rate risk.

The Central Bank of Sri Lanka (CBSL) adopted a tightening monetary policy stance during the latter part of the financial year, resulting in an upward trend in interest rates. Elevated pressures on inflation on account of many factors including increases in global commodity prices, food supply and the sharp depreciation of the currency in March 2022 have resulted in strong policy actions by the CBSL on monetary policy post the end of the reporting period. Such actions have raised monetary policy rates significantly and helped to bridge the gap between the policy and market interest rates.

The company sets out the aggregated level and risk types it accepts in order to achieve business objectives in a risk appetite statement with tolerance thresholds are decided based on the regional concept. This is reviewed on an ongoing basis, and formally approved by Integrated Risk Management Committee every one month. Stress Testing evaluates the potential vulnerabilities in the Company's overall profitability, asset portfolio, liquidity, operations and capital strength under current macro-economic conditions. This assists in the formulation of possible mitigating actions that could be considered in such circumstances. Based on the stress testing, immediate changes are introduced to business cycles through new product types to enhance liquidity and profitability requirement. All the functionality and process are directly linked with the core system for daily and ongoing monitoring process.

The following table demonstrates the sensitivity of the Company's profit for the year ended 31 March 2022 and 31 March 2021 to a reasonable possible change in interest rates, with all other variables remaining constant.

Impact on Statement of Income due to interest rate shocks

	31.03.2022	31.03.2021
	Rs.	Rs.
Magnitude of 100% shock	237,123,466	90,392,234
Magnitude of 150% shock	177,842,600	67,794,175
Magnitude of -50% shock	59,280,867	22,598,058
Magnitude of -25% shock	88,921,300	33,897,088



ASIA ASSET FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

46 RISK MANAGEMENT (Contd..)

46.3.5 Interest Rate Risk (contd...)

46.3.5.1 Interest Rate Exposure on Financial Assets and Liabilities

The table below analyses the Company's interest rate risk exposure on non-trading Financial assets and liabilities. The Company's assets and liabilities are included at carrying amount and categorised by the earlier of contractual re-pricing or maturity dates.

As at 31 st March 2022

	Carrying amount Rs.	On Demand Rs.	Less than 3 Months Rs.	3 to 12 Months Rs.	1 to 3 Years Rs.	3 to 5 Years Rs.	Over 5 Years Rs.	interest bearing Rs.	
Assets									
Cash and cash equivalents	87,317,522	87,317,522	-	-	-	-	-	-	
Balances with banks and Financial institutions	1,310,315,029	34,682,797	1,275,632,232	-	-	-	-	-	
Loans and receivables - Amortised cost	15,813,299,649	-	11,240,607,719	1,298,240,417	1,920,395,539	786,413,128	89,602,136	478,040,710	
Other Financial assets	506,659	-	-	-	-	-	-	506,659	
Total	17,211,438,859	122,000,319	12,516,239,951	1,298,240,417	1,920,395,539	786,413,128	89,602,136	478,547,369	
Liabilities									
Due to banks	38,990,640	38,990,640	-	-	-	-	-	-	
Due to customers	8,695,180,271	-	4,765,373,612	3,428,959,530	421,563,718	79,283,411	-	-	
Debt securities issued	2,072,877,339	-	(50,322,047)	36,605,644	1,480,044,598	606,549,144	-	-	
Other Financial liabilities	5,458,426,482	-	813,741,735	2,083,856,910	2,498,333,837	62,494,000	-	-	
Lease liabilities	207,778,443	-	8,438,174	27,625,039	98,900,735	72,814,496	-	-	
Total	16,473,253,175	38,990,640	5,537,231,474	5,577,047,122	4,498,842,888	821,141,052	-	-	
Total interest sensitivity gap	As at 31 st March 2022	738,185,684	83,009,679	6,979,008,478	(4,278,806,705)	(2,578,447,350)	(34,727,924)	89,602,136	478,547,369

46.3.6 Commodity Price Risk

Commodity price risk refers to the uncertainty of future market value and future income scale caused by commodity price fluctuations. Given the importance of the gold loan to the Company, the volatility in gold prices may adversely affect the profits of the Company. Fluctuations in gold prices lead to market risk, which is the main source of credit risk associated with this product.

Product lifetime - As a credit risk management strategy, the Company delivers services in less time, enabling a faster recovery process.

46.3.7 Operational risk

Operational risk is the risk of losses arising from failed internal processes, systems failure, human error, fraud or external events. Operational risks exist in the natural course of business activities, products and processes. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications, or lead to financial loss. Operational risks cannot be fully eliminated. However, the Company's objective is to contain it within the acceptable levels as determined by the Company's Board of Directors. The Company's operational risk management framework clearly articulates the policies, structures and processes in place to manage the different types of operational risk exposures. The Board of Directors, supported by the IRM is responsible for formulating a policy and ensuring the robustness of the operational risk management framework. Loss events are recorded and periodically reported through the Risk Management Unit to the Board of Directors. Meanwhile, Internal Audit also provides assurance to the Board on the effectiveness on the operational risk management processes in place.

46 RISK MANAGEMENT (CONTD....)

46.4 Integrated risk management committee (IRM)

The IRM committee has the overall responsibility for the development of the risk strategy and implementing principles, frameworks, policies and limits. It is also responsible for managing risk decisions and monitoring risk levels and reports on a periodical basis to the board. IRM assesses all reported risks by the risk management unit and issues directions and guidelines to enhance the policies and procedures to mitigate the risks.

46.4.1 Risk Appetite

The term “Risk Appetite” refers to the broad types and quantum of risk, the AAF is willing to undertake in implementing its business strategy. It is expressed in the form of tolerance limits and risk trigger points across a range of variables. The Board of Directors has ultimate responsibility for setting the Risk Appetite of the Company and ensure that the exposures and risks are maintained within that approved levels.

46.4.2 Credit risk

Credit risk is the likelihood that a borrower or counterparty will not honor its obligations in accordance with the terms of agreement. i.e. the risk of default which is one of the most vulnerable risks faced by any financial institution. Credit risk is inherent to all financial institutions where the main business is lending. The main aim of the “credit risk management” is to minimize the risk and to maximize the risk adjusted rate of return of the financial institution.

The Company conducted an in-depth analysis on the probable customers who would get affected and the scale of impact it may have on the Company’s lending portfolio due to the prevailing macro-economic uncertainty and COVID-19 and the related impacts to our customers on account of elevated inflation and interest rates. The Company manages this by diversifying the lending portfolio across a wide range of products and customer segments which in turn would ensure the resilience of the Company in an economic shock of this nature. The Company is comfortable with the existing composition of its loan portfolio and continuous monitoring activities are being carried out to avoid accumulation of exposures to risky segments.

46.4.3 Company’s approach to credit risk

Under SLFRS 9: “Financial Instruments: Recognition & Measurement”, the AAF assess the impairment of loans and advances individually or collectively based on the principles of “expected credit loss” (Refer Note 18 for details) model which is expected to capture future trends in the economy. However, the regulatory provisions are made on loans and advances under the Direction No. 03 of 2008 on “Classification of loans and advances, Income Recognition and Provisioning” (and subsequent amendments thereof) issued by the CBSL are on “time/delinquency base”. Further, under SLFRS 9, other debt financial assets not held at FVTPL, together with loan commitments and other off balance sheet exposures such as financial guarantees and letter of credits, are subject to impairment provision, whereas no such regulatory provision is required for those financial assets as per the CBSL Direction. As a result, SLFRS 9 recognises higher impairment provisions compared to CBSL guidelines. Financial investments and financial liabilities (other than FVTPL) are carried at “cost” for regulatory reporting purposes while they are classified as “Financial assets measured at fair value through other comprehensive income” carried at fair value or Financial assets/liabilities at amortised cost under SLFRS 9. The “Fair value” is defined as the best estimate of the price that would be received to sell an asset or be paid to transfer a liability in an orderly transaction between market participants at the measurement date. A variety of valuation techniques combined with the range of plausible market parameters as at a given point in time may still generate unexpected uncertainty beyond fair value. An “amortised cost” of a financial asset or financial liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the EIR method of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment. Hence, the amortised cost of financial investments and financial liabilities under SLFRS 9 are different to the carrying value for regulatory reporting which is the “cost”

46.5 Impairment assessment

The Company considers a financial instrument defaulted and, therefore, Stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes more than 90 days past or three instalments in arrears due on its contractual payments or when classified as Non-Performing Loan(NPL) as per directions issued by the Central Bank of Sri Lanka (CBSL).

46.5.1 Individually assessed allowances

The allowance appropriate for each individually significant loan or advance on an individual basis if there is any objective evidence of a potential loss. The Company has currently set individually significant threshold at LKR 5Mn for Small and Corporate Loans and for LKR 1Mn for Personal loan category. Every customer having an aggregate exposure above that limit is individually assessed for objective evidence of incurred loss. Items considered when determining allowance amounts include, the sustainability of the counterparty’s business plan, its ability to improve performance, if it is in a financial difficulty, projected receipts and the expected payout should a bankruptcy arise, the availability of other financial support, the realizable value of collateral and the timing of the expected cash flows.

46.5.2 Collectively assessed allowances

Allowances are assessed collectively for losses on loans and receivables that are not individually assessed. The collective assessment is made for groups of assets with similar risk characteristics, in order to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident in the individual loans assessments. The collective assessment takes account of data from the loan portfolio (such as loan types, industry codes, and level of arrears). The AAF applies a three-stage approach to measure expected credit losses (ECLs). Financial assets shifts through the following three stages based on the change in credit risk since initial recognition.



46 RISK MANAGEMENT (CONTD....)

46.5 Impairment assessment (contd...)

46.5.3 Analysis of credit quality - Maximum exposure to credit risk by class of financial assets

As at 31st March 2022

	Subject to			
	Carrying amount	Not subject to	12-month ECL	Life time ECL - not
	Rs.	ECL	(Stage 1)	credit impaired
		Rs.	Rs.	(Stage 2)
				Rs.
				Life time ECL -
				credit impaired
				(Stage 3)
				Rs.
Cash and cash equivalents	1,397,632,551	1,397,632,551	-	-
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	989,433,452	989,433,452	-	-
Loans and advances at amortized cost				
Gross loans and advances	16,087,670,167	-	10,021,766,408	1,221,280,250
Less : Impairment charge	(1,341,559,193)	-	(79,425,311)	(136,117,552)
Less : Net Interest Margin	(16,928,855)	-	(16,928,855)	-
Net carrying amount	14,729,182,119	-	9,925,412,242	1,085,162,698
Lease rentals receivable and hire purchase at amortized cost				
Gross lease rentals receivable and hire purchase	1,257,342,474	-	765,857,115	177,204,900
Less : Impairment charge	(158,388,642)	-	(8,566,631)	(16,026,905)
Less : Net Interest Margin	(14,836,302)	-	(14,836,302)	-
Net carrying amount	1,084,117,530	-	742,454,181	161,177,995
Financial assets - fair value through other comprehensive income				
Gross carrying amount	7,006,659	7,006,659	-	-
Less : Impairment charge	(6,500,000)	(6,500,000)	-	-
Net carrying amount	506,659	506,659	-	-



46 RISK MANAGEMENT (CONTD....)

46.5 Impairment assessment (contd...)

46.5.3 Analysis of credit quality - Maximum exposure to credit risk by class of financial assets (contd....)

As at 31st March 2021

As at 31st March 2021	Subject to				
	Carrying amount Rs.	Not subject to ECL Rs.	12-month ECL (Stage 1) Rs.	Life time ECL - not credit impaired (Stage 2) Rs.	Life time ECL - credit impaired (Stage 3) Rs.
Cash and cash equivalents	1,006,233,476	1,006,233,476	-	-	-
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	654,692,844	654,692,844	-	-	-
Loans and advances at amortized cost					
Gross loans and advances	11,589,637,654	-	7,096,003,282	717,054,715	3,776,579,656
Less: Impairment charge	(1,374,445,936)	-	(130,393,979)	(20,305,792)	(1,223,746,165)
Less: Net Interest Margin	(16,928,855)	-	(16,928,855)	-	-
Net carrying amount	10,198,262,863	-	6,948,680,448	696,748,923	2,552,833,491
Lease rentals receivable and hire purchase at amortized cost					
Gross lease rentals receivable and hire purchase	2,444,357,449	-	2,047,968,605	63,409,092	332,979,753
Less: Impairment charge	(216,986,253)	-	(20,657,455)	(4,257,410)	(192,071,388)
Less: Net Interest Margin	(14,836,302)	-	(14,836,302)	-	-
Net carrying amount	2,212,534,894	-	2,012,474,847	59,151,682	140,908,365
Financial assets - Fair value through Other comprehensive income					
Gross carrying amount	7,006,659	7,006,659	-	-	-
Less : Impairment charge	(6,500,000)	(6,500,000)	-	-	-
Net carrying amount	506,659	506,659	-	-	-



46 RISK MANAGEMENT (CONTD....)

46.6 Analysis of ECL Model under multiple economic scenarios

ECLs must reflect an unbiased and probability weighted estimate of credit losses over the expected life of the financial instrument. The main objective of the probability weighted economic estimates is to convert the historical statistics into more futuristic indicators. Also Primarily Economic factor adjustment is used to convert the Through the Cycle (TTC) PD in to Point in Time (PiT) PDs.

46.6.1 Sensitivity analysis of Impairment provisions on Loans and advances to customers

As at 31 March 2022	Sensitivity on ECL and sensitivity effect on Financial Position			Sensitivity effect on Income Rs.
	Stage1 Rs.	Stage2 Rs.	Stage3 Rs.	
PD 1% increase across all age buckets	1,582,290	1,978,281	-	3,560,571
PD 1% decrease across all age buckets	(1,582,290)	(1,978,281)	-	(3,560,571)
LGD 5% increase	2,674,500	12,247,965	247,061,406	261,983,870
LGD 5% decrease	(2,674,500)	(12,247,965)	(247,061,406)	(261,983,870)
Probability weighted Economic Scenarios				
Base case 10% increase, worst case 5% decrease and best case 5% decrease	35,399	252,757	-	288,156
Base case 10% decrease, worst case 5% increase and best case 5% increase	(31,123)	(222,760)	-	(253,883)

Sensitivity analysis of Impairment provisions on loans and advances to customers

As at 31 March 2021	Sensitivity on ECL and sensitivity effect on Financial Position			Sensitivity effect on Income Rs.
	Stage1 Rs.	Stage2 Rs.	Stage3 Rs.	
PD 1% increase across all age buckets	4,092,987	327,594	-	4,420,581
PD 1% decrease across all age buckets	(4,092,987)	(327,594)	-	(4,420,581)
LGD 5% increase	11,744,628	2,038,397	149,068,704	162,851,729
LGD 5% decrease	(11,744,628)	(2,038,397)	(149,068,704)	(162,851,729)
Probability weighted Economic Scenarios				
Base case 10% increase, worst case 5% decrease and best case 5% decrease	(32,051)	901	-	(31,150)
Base case 10% decrease, worst case 5% increase and best case 5% increase	29,710	(995)	-	28,715



46 RISK MANAGEMENT (CONTD....)

46.6 Analysis of ECL Model under multiple economic scenarios (contd...)

46.6.2 Analysis of inputs to the ECL model under multiple economic scenarios

The Company obtains the data from reliable third party sources such as CBSL, International Monetary Fund and/or World Bank in all instances where such projections are available. The following tables set out the key drivers of expected loss and the assumptions used for the AAF's base case estimate, ECLs based on the base case plus the effect of the use of multiple economic scenarios as at 31 March 2021 and 2022. The tables show the values of key forward looking economic variables/assumptions used in each of the economic Scenarios for the ECL calculations.

As at 31 March 2022	Scenario	Probability Weighted	2022	2021	2020	2019	2018	2017
GDP Growth (%)	Base case Forecast	50.00%	-1.80%	1.30%	2.70%	3.80%	3.30%	4.50%
	Best Case Forecast	25.00%	-1.80%	1.33%	2.74%	3.84%	3.34%	4.55%
	Worst-case Forecast	25.00%	-1.73%	1.26%	2.64%	3.74%	3.24%	4.42%
Inflation (YoY Average)	Base case Forecast	50.00%	18.70%	4.20%	4.80%	3.30%	6.60%	4.00%
	Best Case Forecast	25.00%	16.90%	4.06%	4.60%	3.16%	6.30%	3.83%
	Worst-case Forecast	25.00%	18.92%	4.29%	4.94%	3.40%	6.81%	4.11%
Interest Rate (PLR)	Base case Forecast	50.00%	13.50%	5.75%	10.49%	11.94%	11.33%	11.73%
	Best Case Forecast	25.00%	13.17%	5.58%	10.23%	11.63%	11.05%	11.43%
	Worst-case Forecast	25.00%	13.91%	6.22%	11.18%	12.78%	12.10%	12.54%
Exchange Rate-YE (US\$:LKR)	Base case Forecast	50.00%	320.00	213.80	191.86	193.64	157.79	154.22
	Best Case Forecast	25.00%	320.00	207.23	182.13	183.59	153.55	150.49
	Worst-case Forecast	25.00%	320.00	250.00	250.00	250.00	218.50	214.14
Unemployment (% of Labor Force)	Base case Forecast	50.00%	5.20%	5.20%	4.85%	4.40%	4.20%	4.40%
	Best Case Forecast	25.00%	5.18%	5.18%	4.84%	4.39%	4.19%	4.39%
	Worst-case Forecast	25.00%	5.22%	5.25%	4.88%	4.42%	4.22%	4.42%
As at 31 March 2021	Scenario	Probability Weighted	2021	2020	2019	2018	2017	2016
GDP Growth (%)	Base case Forecast	50.00%	1.30%	2.70%	3.80%	3.30%	4.50%	5.00%
	Best Case Forecast	25.00%	1.33%	2.74%	3.84%	3.34%	4.55%	5.06%
	Worst-case Forecast	25.00%	1.26%	2.64%	3.74%	3.24%	4.42%	4.91%
Inflation (YoY Average)	Base case Forecast	50.00%	4.20%	4.80%	3.30%	6.60%	4.00%	2.20%
	Best Case Forecast	25.00%	4.06%	4.60%	3.16%	6.30%	3.83%	2.10%
	Worst-case Forecast	25.00%	4.29%	4.94%	3.40%	6.81%	4.11%	2.27%
Interest Rate (PLR)	Base case Forecast	50.00%	5.75%	10.49%	11.94%	11.33%	11.73%	7.40%
	Best Case Forecast	25.00%	5.58%	10.23%	11.63%	11.05%	11.43%	7.21%
	Worst-case Forecast	25.00%	6.22%	11.18%	12.78%	12.10%	12.54%	7.93%
Exchange Rate-YE (US\$:LKR)	Base case Forecast	50.00%	213.80	191.86	193.64	157.79	154.22	147.56
	Best Case Forecast	25.00%	207.23	182.13	183.59	153.55	150.49	144.72
	Worst-case Forecast	25.00%	250.00	250.00	250.00	218.50	214.14	205.93
Unemployment (% of Labor Force)	Base case Forecast	50.00%	5.20%	4.85%	4.40%	4.20%	4.40%	4.70%
	Best Case Forecast	25.00%	5.18%	4.84%	4.39%	4.19%	4.39%	4.69%
	Worst-case Forecast	25.00%	5.25%	4.88%	4.42%	4.22%	4.42%	4.73%

46 RISK MANAGEMENT (CONTD....)

46.7 Collateral and Other Credit Enhancement

The below table provides an analysis of the current fair values of collateral held and credit enhancements for stage 1 to 3 assets. However, the Stage 3 ECL can be higher than net exposure shown below when the future value of collateral, measured using multiple economic scenarios, is expected to decline.

Revaluation of immovable properties obtained as collaterals against any accommodation granted are assessed based on the requirements in the Direction No 04 of 2018 on 'Valuation of Immovable Properties' and subsequent amendments thereto issued by the Central Bank of Sri Lanka (CBSL). The assessment of immovable properties is carried out by independent professional valuers as required by the said direction issued by CBSL.

As at March 2022

Maximum Exposure to Credit risk Rs.	Fair Value of Collateral under base case Scenario			Net Exposure Rs.	Associated ECL Rs.
	Immovable Collateral Rs.	Movable Collateral Rs.	Total Collateral Rs.		
Stage 01	10,787,623,522	1,696,941,000	17,057,584,648	-	7,345,057,338
Stage 02	1,398,485,151	430,005,000	1,468,258,229	-	1,849,808,992
Stage 03	5,158,903,968	934,945,000	3,920,149,264	303,809,703	5,985,918,461
	17,345,012,641	3,061,891,000	22,445,992,142	303,809,703	15,180,784,792

As at March 2021

Maximum Exposure to Credit risk Rs.	Fair Value of Collateral under base case Scenario			Net Exposure Rs.	Associated ECL Rs.
	Immovable Collateral Rs.	Movable Collateral Rs.	Total Collateral Rs.		
Stage 01	9,143,971,887	2,123,873,875	8,491,918,641	-	5,415,293,783
Stage 02	780,463,807	141,163,589	617,123,600	22,176,619	698,654,202
Stage 03	4,109,559,409	608,395,407	1,672,321,189	1,828,842,814	4,392,975,041
	14,033,995,103	2,873,432,870	10,781,363,430	1,851,019,432	10,506,923,026

46.8 Concentration of credit risk

AAF manages concentration risk through strategically diversifying the business across industry sectors, products, counterparties and geographies. The Company's Credit Committee defines the limits for these segments and ensures compliance. Further, the Board and RMC monitor these exposures. They also make suggestions and recommendations on modifications to define limits based on the trends and developments shaping the business environment while following Muthoot Group requirements.



46 RISK MANAGEMENT (CONTD.....)

46.8 Concentration of credit risk (contd...)

The Company's concentration of risk in relation to the lending portfolio is managed by the industry sector which is detailed below:

	31.03.2022 Rs.	31.03.2021 Rs.
Manufacturing	405,522,390	305,203,819
Transport	147,112,020	100,672,193
Services	552,395,450	579,422,370
Agro-business and fisheries	5,109,599,340	179,312,866
Construction	615,614,450	124,223,827
Commercial trading	779,824,410	607,643,263
Others	9,734,944,581	12,137,516,765
Total lending portfolio	17,345,012,641	14,033,995,103
Loans and advances	4,400,821,946	4,967,140,882
Gold Loans	11,686,848,221	6,622,496,772
Lease	1,256,149,473	2,414,730,953
Hire purchase	1,193,001	29,626,496
Total receivables	17,345,012,641	14,033,995,103

46.9 Geographical distribution of Loans and Advances

Provincial breakdown for loans and receivable within Sri Lanka is as follows;

	31.03.2022			
	Lease and HP Rs.	Gold Loan Rs.	Loans and advances Rs.	Total Rs.
Central	114,966,805	2,805,024,665	204,572,909	3,124,564,379
Eastern	55,875,839	1,881,971,426	207,148,475	2,144,995,740
Northern	75,363,291	3,059,120,887	441,409,609	3,575,893,787
North Western	313,933,164	977,250,816	695,210,085	1,986,394,065
Southern	208,649,275	719,245,229	474,399,290	1,402,293,795
Sabaragamuwa	-	126,451,362	-	126,451,362
Western	488,554,100	1,769,058,772	2,377,808,228	4,635,421,101
Uva	-	348,725,064	273,349	348,998,413
	1,257,342,475	11,686,848,221	4,400,821,946	17,345,012,641

Geographical distribution of Loans and Advances

Provincial breakdown for loans and receivable within Sri Lanka is as follows;

	31.03.2021			
	Lease and HP Rs.	Gold Loan Rs.	Loans and advances Rs.	Total Rs.
Central	215,259,163	1,756,980,374	209,589,164	2,181,828,700
Eastern	117,188,904	902,124,504	259,749,378	1,279,062,785
Northern	160,303,053	1,818,254,321	474,412,509	2,452,969,883
North Western	594,442,643	537,179,427	716,806,730	1,848,428,800
Southern	391,459,089	446,934,763	496,509,120	1,334,902,972
Sabaragamuwa	-	87,226,102	-	87,226,102
Western	965,704,597	1,021,927,451	2,810,073,981	4,797,706,030
Uva	-	51,869,832	-	51,869,832
	2,444,357,449	6,622,496,772	4,967,140,882	14,033,995,103





47 COMPARATIVE INFORMATION

Comparative figures and phrases have been re-arranged wherever necessary to conform to the current year's presentation.

47.1 Significant reclassifications

Statement of Income

	As disclosed in 2020/2021 Rs.	As reclassified in 2021/2022 Rs.	Reclassification Rs.	
Interest income	2,626,394,467	2,725,047,628	98,653,161	
Other operating income (fee and commission income and other operating income)	328,420,134	229,766,973	(98,653,161)	(a)
Personnel expenses	268,929,048	276,092,770	7,163,721	
General and administration expenses	616,439,300	609,275,579	(7,163,721)	(b)

Statement of financial position

Other assets	21,637,318	121,313,548	99,676,230	
Advances, deposits and prepayments	252,083,660	152,407,430	(99,676,230)	(c)
Other liabilities	38,147,909	40,308,402	2,160,493	
Due to customers	7,013,686,384	7,011,525,892	(2,160,492)	(d)

- (a) Gold loan penal interest and interest on early settled contract were included in other income previously and these have been reclassified to interest income.
- (b) Gratuity expenses included in general and administration expenses have been reclassified to personnel expenses for better presentation.
- (c) Deferred expenses amounting to Rs. 121,313,548 included in advances, deposits and prepayments have now been re-classified. On the other hand, input VAT, receivables from staff welfare and government debt relief balances amounting to Rs. 6,354,799, Rs. 37,763 and Rs. 15,244,756 respectively have been re-classified from other assets to advances, deposits and prepayments.
- (d) FD encashment refund amounting to Rs. 2,160,492 has been re-classified from due to customers to other liabilities.

48 ASSESSMENTS RECEIVED BY THE COMPANY

Income tax and VAT assessments received from the Department of Inland Revenue are outstanding as of the reporting date. These assessments have been appealed to Tax Commission and the Commissioner General of Inland Revenue. The Company is confident that these assessments can be successfully defended. As a result, no provisions have been made for these balances.

49 EVENTS AFTER THE REPORTING DATE

Sri Lanka is currently experiencing an economic crisis due to depletion of foreign currency reserves and balance of payments issues. As a result, Most industries, including finance industry face an unprecedented level of challenges for future operations and consequent earnings over the foreseeable future. However, the management is confident that the Company will be able to successfully navigate through the crisis due the strong loan portfolio which comprises mainly on Gold financing and the prudent decision making process which has ensured the stringent cost management of our operations. The strength and the experience of our parent Company is an added comfort to our organization, which will ensure continued support during this challenging period. Therefore, no adjustment is required to the balances reported in these financial statements.

Other than the above, no circumstances have arisen since the reporting date which would require adjustments to, or disclosure in the Financial Statements.